

McLaren Racing Limited

Annual report and consolidated financial statements

Registered number 01517478

31 December 2024

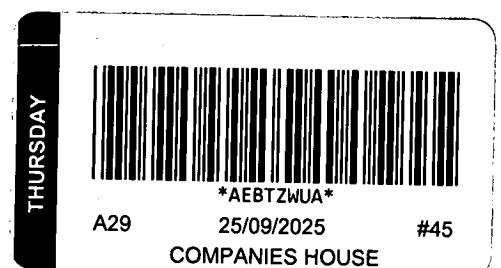


Table of Contents

Strategic report	3
Environmental report	7
Directors' report	14
Independent auditors' report to the members of McLaren Racing Limited	17
Consolidated profit and loss account	25
Company profit and loss account	26
Consolidated balance sheet	27
Company balance sheet	28
Consolidated statement of changes in equity	29
Company statement of changes in equity	30
Consolidated statement of cash flows	31
Notes to the financial statements	32

Strategic report

Principal activities

The principal activity of McLaren Racing Limited (the "Company") and its subsidiaries (collectively the "Group") during the year was that of participating in a number of motor racing series throughout the world, most notably in Formula One ("F1"). This includes the design, development, manufacture and racing of Formula One cars. During the year the Group also participated in IndyCar, Extreme E, Formula E and Esports.

Business review

Racing season and commercial review

2024 saw McLaren Racing Limited reclaim the Formula One Constructors' Championship, marking a triumphant return to the top after 26 years. The season's success was a testament to the hard work of the entire team, supported by our valued partners and passionate fans. It also demonstrated the team's remarkable progress in recent seasons, rising from 4th position in 2023 to 1st in 2024.

Success extended across other racing series as well. In IndyCar, Pato O'Ward secured three race wins while in Formula E, Sam Bird delivered the team's first-ever victory in Sao Paulo.

As a Group, we have seen revenue increase from £431,082K to £530,314K primarily as a result of increased commercial activity after a strong season of on track performance.

The strong revenue growth has resulted in an operating profit of £57,601K (2023: £30,498K), whilst net interest expense of £20,065K (2023: £18,907K) is broadly flat year on year resulting in a profit before tax of £37,536K (2023: £11,591K).

The net profit figure translated to a consolidated cash and cash equivalents balance at year end of £237,417K (2023: £138,942K) from increased cash inflow from operating activity, largely from increased deferred income, offset against increased financing activities including £40,000K repayment of loan notes in February 2024.

The McLaren Racing Limited standalone financial statements showed revenue of £488,393K (2023: £386,968K). This again is primarily due to the strength in sponsorship revenue. The strength in revenue flowed through to an operating profit of £48,462K, (2023: profit of £24,892K).

In December 2024, the Group acquired the remaining 25% of McLaren Indy LLC to take 100% ownership.

Investment in McLaren Racing Limited

Since December 2020, McLaren Racing Limited has had a long-term investment led by MSP Sports Capital ("MSP"), who co-invested with its strategic partners UBS O'Connor, LLC. and The Najafi Companies, whilst an additional tranche of funding was provided by UBS O'Connor LLC, the investment group Caspian and Ares Capital (ASME Holdings I, LP).

The investment amount is in the form of convertible loan notes and warrants, valued at £179,000K at December 2024 (2023: £194,700K). Under the arrangement, the Company has the option to draw down an additional amount of £15,000K (2023: £15,000K) up to 31 December 2025. The warrants are convertible at any time at the option of the warrant holders, for £0.01, into equity shares of the Company. The warrants have given the investors voting and dividend rights on an 'as-converted' basis. As at 31 December 2024 the investors cumulatively held 29.25% (2023: 29.25%), in the Company and Group on a diluted basis.

Key performance indicators

The Directors regularly review multiple KPIs in order to monitor overall business performance.

These included the Championship position across all racing series as success on track has a direct impact on prize money, sponsorship and stakeholder engagement.

Other areas of focus include monthly review of financial performance of all race series against Budget and where applicable, prior year, specifically in regards to turnover, operating profit and cash flow which ensure appropriate management focus on the Group's financial health.

Strategic report (continued)

Financial results were ahead of budget with consolidated revenue, increasing from £431,082K in 2023 to £530,314K in 2024. The key drivers for the increase in revenue are discussed in the Racing season and commercial review section in the preceding pages. The operating profit was £57,601K up from £30,498K in 2023 which was attributable to an increase in commercial activity, notably increased sponsorship in the year. Variance against budget has been reviewed stringently in the year as a KPI, with mitigating interventions such as closer review of key costs and explanation to the Executive Team.

Consolidated net liabilities fell from £50,192K in 2023 to a net liability of £5,802K in 2024 primarily due to an increase in cash and cash equivalents as a result of strong commercial performance.

There are a number of other non-financial key performance indicators that are important to the Group, the most important that are monitored are around staff performance and reward, core values and partner satisfaction. They are monitored on a routine basis but are reportable to the leadership team who closely review these against previous results and adapt strategies to meet the objectives.

Future developments & Subsequent Events

2025 will see McLaren Racing Limited defend the Constructors' World Championship with the same driver line up of Oscar Piastri and Lando Norris.

The team will acquire Andretti Autosport's current Indianapolis headquarters in 2025, which will add additional functionality and opportunity to grow as a team.

On 9 December 2024, McLaren Group Limited's shareholder, Bahrain Mumtalakat Holding Company B.S.C.(c), announced that CYVN Holdings LLC, based in Abu Dhabi, would acquire a non-controlling stake in McLaren's racing business. The transaction is expected to complete within H1 2025.

In Q1 2025, 1,872,525 share warrants of £0.01 were converted into equity shares.

Principal risks and uncertainties

Competitive & operational risks

As ever the key direct risks and uncertainties faced by the business are continuing to be competitive in all operations, ability to gain and retain sponsorship, control of the cost base of developing the competitive cars and staff recruitment and retention.

A Group wide risk register is maintained with direct input from across the business. This aims to highlight relevant risks and provide focus for mitigations and contingency planning, with emerging issues being escalated to the Board for discussion.

Financial risk management

The Group is primarily funded through prize money and its sponsorship agreements, and the risks around these are determined largely by on track performance. The risks are managed by optimising results through investing in both research and development of the car, the team that design, build & race the car and through signing medium and long-term agreements with key partners and sponsors.

Cash flows are carefully budgeted and controlled by the Directors to ensure there is sufficient liquidity within the business to operate through both the short and long-term.

The Group has foreign currency dealings in USD, Euro, SAR and multiple other currencies. Key transactions are reviewed by the Board who agree policies and approaches to manage associated risks around fluctuating FX rates for our prize fund and foreign denominated sponsorship income. The hedging policy agreed by the Board is to give a level of certainty over the foreign exchange fluctuations. This is assessed regularly by the Board, with hedging arrangements in place to mitigate against the biggest risks, whilst balancing that the FX rates have been incredibly volatile in 2024 and therefore not always produced a favourable result.

Strategic report (continued)

Section 172 (1) Companies Act 2006

We set out below, how the Directors complied with the requirements of Section (1) 172 Companies Act 2006 and how these requirements impacted the Board's decision making throughout 2024.

Section 172 Decisions

a) The likely consequence of any decision in the long-term

The Group board minutes evidence detailed discussions at board level. The Group Board approves a 5-year plan annually, or where the need arises, against which it monitors both operational and financial performance. The plan is updated and revised for items such as:

- Changes to the FIA sporting, technical and financial regulations. The Group agrees a set of sporting performance indicators and reviews its funding requirements against these.
- External factors including the development of the sporting industries it operates in, together with the global economic and market conditions impacting sponsorship and the general business environment.
- Any financing arrangements that are required, such as foreign currency hedging to deal with FX fluctuations

b) The interest of the Group and Company's employees

The Group takes pride in its working culture and environment, which is deeply rooted in its commitment to equity, diversity, and inclusion (ED&I) values. It has crafted its recruitment processes to ensure that it attracts top talent who not only excel in their roles but also resonate with McLaren's vision and values. Furthermore, its dedication to fostering a supportive and inclusive workplace extends to providing ongoing leadership development and mentorship programs, empowering each team member to reach their full potential. McLaren has cultivated a collaborative atmosphere where open communication and feedback is embraced and encouraged at all levels, fostering an environment of trust and mutual respect. Embracing diversity of thought and perspectives is a fundamental aspect of McLaren's culture, recognising and valuing the background and experience each team member brings to the table. Celebrating successes and milestones is ingrained in McLaren's culture, reinforcing a positive and rewarding work environment where every contribution is acknowledged and appreciated. Above all, McLaren prioritises employee well-being and work-life balance, implementing initiatives to support and care for its team members, ensuring they thrive both personally and professionally.

c) The need to foster the Group's and Company's business relationships with suppliers, customers and others

The Board regularly reviews how the Group and Company maintains positive relationships with all its stakeholders. It understands the importance of the Group's and Company's supply chain in delivering its long-term plans. The CEO of the Company and Group, Zak Brown, has a wealth of commercial and relevant industry knowledge having raced professionally around the world for ten years before founding Just Marketing International which grew to become the largest motorsport marketing agency in the world. The Group's principal risks and uncertainties set out risks that can impact its long-term success and how these risks interact with our stakeholders.

The Board actively seeks information on the interaction with stakeholders to ensure that they have enough information to reach appropriate conclusions about the risks faced by the Group and how these are reflected within the long-term plans.

Strategic report (continued)

Section 172 Decisions (continued)

d) The impact of the Group's and Company's operations on the community and environment

Refer to the climate related financial disclosures on pages 7 to 13 for details regarding the Group's and Company's considerations and reporting over the impact of its operations on the community and environment.

e) The desirability of the Group and Company maintaining a reputation for high standards of business conduct

The Directors take the reputation of the Group and Company seriously which is not limited to only operational and financial performance. The Board follows and approves a suite of controls that include adherence to anti-corruption, bribery, anti-slavery and Dealing Code. The Board has committed to having a workforce that reflects society as a whole. It has considered the data, and narrative, relevant to the Group's and Company's Gender Pay Reporting in preparation for external publication, including proposed improvement plans to enhance performance.

f) The need to act fairly between members of the wider McLaren Group

Since December 2020 the Racing Team has been supported by a long-term investment led by MSP Sports Capital alongside UBS O'Connor, LLC., Ares (ASME Holdings I, LP), The Najafi Companies & the investment group Caspian to help drive its plan to return to the top in Formula 1 and continue its growth as a global sports franchise.

These stakeholders rely on the Board to protect and manage their investment in a responsible and sustainable way that generates value for them. The Group holds regular management meetings for all the Executive to share knowledge and ensure consistency across operations. The Group interfaces with the stakeholders on a regular basis through corporate events and the Group Board meetings, held at the Woking office, which contains independent non-executives alongside the executive directors.

Additionally, as a joint venture with the McLaren Group Limited, the Group and Company regularly meet with Directors of those entities, as they are intrinsically linked by common goals of the Board members to create a strong McLaren business. The risks and opportunities are considered as a whole and discussed in regular Board meetings to ensure fairness across the wider McLaren Group.

On behalf of the Board



21 March 2025

Zak Brown

Director, McLaren Racing Limited

Registered Office:

McLaren Technology Centre
Chertsey Road
Woking
Surrey
GU21 4YH

Environmental report

Environmental and social sustainability overview

Our approach to sustainability is shaped to deliver on the Group's vision, mission, strategic goals and values. Everything we do feeds into our vision to be the most pioneering and exhilarating racing team in the world. Since 2022 we have focused our work on achieving our goals and our mission – to set the standard for high performance in sport – in the context of sustainability.

Within the Group's operational control, we are minimising our environmental impacts by investing in innovation such as low-carbon fuels, circular materials and waste-reducing processes. There are also elements which the Group cannot directly control, such as the increasing number of races in the F1 calendar and the boundaries of the sports' regulations. To manage these indirect impacts, we use our influence to engage with championship organisers, regulators, race promoters and other stakeholders to raise awareness and collaborate towards building a more climate-resilient sport.

McLaren Racing Limited publishes an Annual Sustainability Report in the spring of each year, where it reports on its sustainability strategy and progress in detail.

The Group and Company have a history of strong environmental commitments. McLaren was the first F1 team to be awarded the Carbon Trust Standard for carbon management in 2010 and has retained this (or equivalent standards) since, most recently obtaining assurance against ISO14064 for 2022 and 2023 calendar years. The team was also the first in F1 to be awarded the FIA Environmental Accreditation at the highest available level (three-star) in 2013; the award is renewed every two years, most recently in 2024, and is a requirement to compete in F1. The Group is a signatory to the UN Sports for Climate Action framework since 2021, regularly attending climate working groups in the sports industry and publishing a Climate Transition Action Plan in 2023 in support of this initiative. In 2024, McLaren Racing Limited became the first F1 Team to have GHG emissions targets validated by the Science-Based Targets Initiative (SBTi), in line with its ambitious goal of reaching net-zero emissions by 2040.

Sustainability governance

McLaren Racing Limited has sustainability governance structures in place at leadership, management and operational levels of the business, up to and including the Board. The purpose of these structures is to maintain governance and oversight of sustainability projects and investments, assess and manage climate and sustainability risks, maintain awareness among leadership, and facilitate embedding good sustainability practice across the Company.

McLaren Racing Limited is also an active member of several external groups which govern or manage sustainability within motorsport. The Group engages with these external bodies to influence sustainability elements outside its direct control, and to champion sustainability progress within the motorsport industry.

The McLaren Racing Board provides strategic oversight and decision-making on sustainability including priority setting, risk management and opportunity realisation. The Board meets quarterly, and sustainability is a standing agenda item in Board meetings, where progress is reported on by the Company CEO.

The McLaren Racing Executive Team provides strategic leadership on sustainability and reports via the CEO to the Company's Board of Directors. The Chief People & Sustainability Officer is a member of this group.

The McLaren Racing Sustainability Steering Committee meets monthly and oversees and facilitates delivery of the sustainability strategy and its integration into business activities, processes, decision-making and management. This group governs sustainability risks, opportunities and strategic decisions at the managerial level. It is attended by the Executive Team along with various Directors from across the business, and is chaired by the Director of Sustainability. Progress against climate targets is measured and reviewed annually in line with the Group's external sustainability reporting cadence, and the Steering Committee are kept regularly updated on targets ahead of Sustainability Report publication.

The McLaren Advisory Team (MAT) is a group of trusted global business leaders who represent a cross-section of sectors. The MAT meets quarterly to provide McLaren Racing Limited and its corporate partners with strategic insights and expertise, which extends to the topics of corporate sustainability.

Environmental report (continued)

The **FIA ESG Advisory Committee** and **series-level ESG working groups** are comprised of sustainability experts representing various motorsport organisations including F1 Teams, Formula One Management, and the FIA. These groups facilitate closer collaboration with some of our key external stakeholders. Engaging with these groups gives the Group a voice in discussions around regulations, and opportunities to contribute to wider environmental, social and governance (ESG) goals within motorsport.

Climate risk assessment

McLaren Racing Limited's portfolio of climate-related risks is broadly divided into two categories:

1. **Transition risks**, which represent changes in market, economic and policy contexts as a result of climate change. These could include proliferation and tightening of regulations, technological advancements, and changes to consumer and market preferences.
2. **Physical risks**, which represent damages, losses or operational impacts caused by extreme weather events (such as heat, cold, flooding, drought, storms, wildfires, etc.), and which are likely to worsen in frequency and severity with climate change.

McLaren Group Limited maintains a risk register which covers climate change and sustainability topics within its scope. This register is prepared, maintained and regularly updated by the Group Head of Risk, and presented for approval to the Audit and Risk Committee, which meets quarterly.

Risks are assigned a likelihood rating based on frequency within a defined time frame, from highly unlikely (50 year horizon) to almost certain (one year). Risks logged in the risk register which have no mitigating controls or cations in place, or risks which remain major in spite of mitigations, are raised directly to the Board as key climate-related transition risks. Individual climate-related risks are not currently assessed for financial impact.

Risks are categorised by thematic area, with sustainability being one category of risk, spanning both social and environmental thematic areas. As at December 2024, two risks were identified as climate-related key risks in the transition risk category, which were raised to the Board. Physical risks are monitored and mitigated where necessary, however currently no physical climate-related risks are categorised as key risks in the risk register. Facilities risks at site level relating to the McLaren Campus and McLaren Technology Centre, including risks relating specifically to climate resilience, property and business interruption, are assessed by the Group through its risk and insurance processes. Currently no such risks are escalated to the Board.

Climate risk management

McLaren Group maintains an environmental management system (EMS) which covers McLaren Racing Limited. As of 2024 the Group incorporates ESG and Sustainability into its internal audit program. An internal audit was conducted to assess the appropriateness of sustainability data, systems and processes to support the Company's sustainability strategy and approach.

The McLaren Racing Sustainability Team, led by the Director of Sustainability, conducts horizon scanning of climate risks, and is responsible for climate-related risk management and opportunity. This team is also responsible for day-to-day management of sustainability affairs, and for delivery of the Company's sustainability strategy and goals.

Environmental report (continued)

Transition climate risks

The Group Risk Register identifies 11 sustainability risks in total relevant to McLaren Racing Limited, including two key climate-related transition risks consisting of four points:

Risk	Risk description	Mitigations
1.1 Climate - Legal and reputational	Compliance and litigation risk in the event of proliferating climate-related litigation and regulation.	Established in-house Sustainability team and strategy; brought sustainability into internal audit scope.
1.2 Climate - Market	Threat to revenue if fan and partner perceptions and preferences change.	Advancement of sustainability programme and communication of progress against it.
1.2 Climate - Market	Loss of social license to race internal combustion engine (ICE) cars.	Participation in electric racing series; F1 sustainable fuels programme.
2.0 Targets - Reputational	Risk of not achieving climate targets if unable to invest in climate change abatement within the FIA Formula One Financial Regulations.	Engagement with FIA on future F1 regulations and unlocking investment in climate change mitigations.

Additionally, the Company CEO has repeatedly raised in public communications that Formula One's success as a sport, which drives business growth within competing F1 Teams including the Company, risks incongruence with absolute climate targets set by McLaren Racing.

The Company models climate change scenarios internally with respect to its targets and to inform its strategic decision-making on decarbonisation initiatives and investments. Due to the recency of this activity, this scenario modelling is not yet linked to financial value.

Maintaining transparent progress reporting, supporting climate initiatives (such as through McLaren Racing Limited's Climate Contribution Programme, which invests in climate projects and applies McLaren Racing's capabilities to help scale and accelerate them) and valuing sustainability in an increasingly environmentally conscious market creates opportunities to attract partners and fans who share the Company's values. Increased awareness of climate impacts also presents opportunities which the Company is well positioned to take advantage of.

Physical climate risks

Whilst physical climate risks outside of the Group's operational control are not currently noted as material risks in the risk register, McLaren Racing Limited continues to monitor and mitigate risks on this topic.

The global nature of the World Championships we compete in, alongside the range of weather patterns and available mitigation measures at different locations, exposes motorsport championships and race events, and therefore the Group in its ability to participate in them, to a range of physical climate risks.

The makeup and order of race calendars is not directly within the Group's control; this sits with the championship organisers, whilst location-specific mitigation measures are managed by race promoters and the tracks themselves. As such, the Group's primary mitigation measure for this risk is engagement with these stakeholders through the external governance structures mentioned in the prior section of this Report, and through maintaining a strong network of peers across other racing teams and organisations.

Environmental report (continued)

Environmental metrics and targets

The Group measures its annual greenhouse gas (GHG) emissions in line with the GHG Protocol Corporate Standard. This calculation covers Scope 1, 2 and 3 emissions, including all relevant Scope 3 categories.

In April 2022, the Group publicly committed to setting near and long-term science-based targets in line with keeping global average temperatures within 1.5 degrees above pre-industrial levels and having these validated by the Science Based Targets initiative (SBTi). These targets were approved by the SBTi in February 2024, and the full wording of these is elaborated below. For the purposes of our climate targets, we define our near-term targets as 2030, and long-term as 2040 and beyond.

Our Near-Term Targets:

We commit to:

- reduce absolute scope 1 and 2 GHG emissions 80% by 2030 from a 2019 base year†;
- increase active annual sourcing of renewable electricity from 97.7% in 2022 to 100% by 2030; and
- reduce absolute scope 3 GHG emissions from purchased goods and services, capital goods, upstream transportation and distribution, and business travel 50% by 2030 from a 2022 base year.

Our Long-Term Targets:

We commit to

- reduce absolute scope 1 and 2 GHG emissions 90% by 2040 from a 2019 base year†; and
- reduce absolute scope 3 GHG emissions from purchased goods and services, capital goods, upstream transport & distribution, and business travel 90% by 2040 from a 2022 base year.

† The target boundary includes land-related emissions and removals from bioenergy feedstocks.

As of its 2023 Annual Sustainability Report, the Group began tracking a GHG intensity metric, expressed as GHG emissions per race, broken down by racing series. The primary intention of this is to have a consistent measure of GHG emissions, which allows for business growth since the company set its baseline figures. McLaren's entry into new racing series, its expansion to two new sites (McLaren Racing Composites and Bicester Heritage), and the growth of the Formula 1 event calendar have all resulted in increased absolute emissions attributable to business growth.

These factors complicate like-for-like emission comparisons against the Group's absolute emissions baseline, whereas the per-race intensity metric provides a normalised view. Whilst it does not have a formal target set against it, this intensity metric provides an alternate perspective on decarbonisation progress alongside absolute emissions.

Progress against targets

McLaren Racing Limited's initial emission reduction focus has been on energy efficiency at its UK headquarters, switching to biofuels for road logistics, reducing freight weight, moving freight from air to sea where possible, and engaging with key suppliers and corporate partners to realise opportunities to reduce emissions from its supply chain, including through the purchase of Sustainable Aviation Fuel (SAF) certificates.

The business plan considers the costs of achieving the Group's targets in the short term, including budgeting for critical decarbonisation initiatives in operations, logistics, business travel and supply chain. Investments to date include purchasing of Sustainable Aviation Fuel credits (SAFc) and carbon removal credits to signal demand to the market for low-carbon fuels, and deployment of HVO biofuel for the Group's logistics operations. The Group expects to sustain this investment in emission reduction year-on-year as it progresses towards its near-term and net-zero climate targets. Unpredictability of prices for low-carbon fuels, carbon removal and related credits present a risk to this strategy; the Group controls this risk by securing supply of credits through multi-year partnerships. Whilst long-term forecasting of costs to our net-zero target is more difficult, the Board are committed to the initiatives required to meet long-term targets.

Environmental report (continued)

The Group continues to monitor and report emissions across all scopes as it progresses towards its climate targets. GHG emissions are reported in the annual McLaren Racing Sustainability Report, and full emissions figures for calendar year 2024 will be presented in the 2024 Sustainability Report.

Below is an overview of progress against targets and a breakdown of GHG inventory as at December 2023:

Against its 2019 baseline, the Group has achieved a 25% reduction in absolute scope 1 and 2 GHG emissions in 2023, progressing towards its 2030 target. These reductions were achieved through a combination of energy efficiency projects at the MTC, and a reduction in fuel and natural gas consumption.

Against its 2022 baseline, the Group has seen a 16% increase in absolute Scope 3 emissions across all categories in 2023. This increase is primarily driven by business growth, the expansion of the F1 calendar, McLaren's entry into Formula E, and growth of operational headcount in F1 and IndyCar.

Table 1: McLaren Racing Limited 2022 and 2023 GHG emissions by scope and category for McLaren Racing Limited and its subsidiaries (includes McLaren F1 Team, Arrow McLaren IndyCar team, McLaren Electric Racing Ltd., all cross-series and non-racing activities).

Scope & category	GHG emissions (tCO ₂ e)	
	2023	2022
Scope 1 GHG emissions	1,522	1,627
Scope 2 GHG emissions (location based)	3,474	3,151
Scope 2 GHG emissions (market based)	68	168
Scope 3 GHG emissions - total	58,091	50,173
Scope 3 Category 1 - Purchased Goods And Services	26,193	30,830
Scope 3 Category 2 - Capital Goods	9,056	1,515
Scope 3 Category 3 - Fuel- and Energy-Related Activities	711	632
Scope 3 Category 4 - Upstream Transportation And Distribution	9,091	7,325
Scope 3 Category 5 - Waste Generated in Operations	26	23
Scope 3 Category 6 - Business Travel	11,568	8,680
Scope 3 Category 7 - Employee Commuting	1,408	869
Scope 3 Category 8 - Upstream Leased Assets	-	248
Scope 3 Category 11 - Use Of Sold Products	36	50
Scope 3 Category 12 - End-of-Life Treatment of Sold Products	2	2
Total GHG emissions (scope 1, 2 and 3)	63,087	54,952

Environmental report (continued)

Energy efficiency and emissions reductions

In December 2023 a 20,000L biofuel storage tank was installed on-site at the McLaren Technology Centre, enabling all diesel-powered vehicles (primarily operated road freight trucks and vans, but also supplier vehicles) leaving the site to be fuelled with hydrotreated vegetable oil (HVO). This has resulted in significant reductions in GHG emissions from operated road logistics and transport, which the Company will measure and report in its 2024 Sustainability Report.

Across its Woking sites, the Group procures 100% renewable electricity sourced from wind, solar and hydroelectric generation. This electricity sourcing is evidenced by Renewable Energy Guarantees of Origin (REGO) certificates, and effectively reduces the Company's Scope 2 emissions on a market basis.

Since a significant portion of the Company's Scope 3 emissions result from aviation (spread across transport & distribution and business travel), in 2024 it has invested in Sustainable Aviation Fuel credits (SAFc) to compensate these emissions. The objective of purchasing SAFc is to financially support the development and production of SAF, send a demand signal to the aviation fuel market, and to reduce the overall GHG intensity of global aviation activity. Further details will be disclosed in the 2024 Sustainability Report.

The Company's focus for decarbonisation in 2025 will be establishing a supplier sustainability engagement programme, since reducing supply chain emissions will be critical to meeting the Company's near-term and net-zero emissions targets.

Directors' report

The Directors present their annual report and the audited consolidated financial statements for the year ended 31 December 2024.

Results

The Group profit after tax for the financial year amounted to £54,157K (2023: profit of £12,919K).

Research and development

By the nature of its activities, the Group has an ongoing investment into research and development across all of its motoring and engineering operations.

Going concern

The Directors have a reasonable expectation that the Group has adequate resources to continue in operational existence for the foreseeable future. Thus, they continue to adopt the going concern basis in preparing the annual financial statements.

Further details regarding the adoption of the going concern basis can be found in note 3b on page 32.

Financial risk management objectives and policies

The Group's and Company's activities expose it to a number of financial risks including foreign exchange risk, credit risk, and liquidity risk. Foreign exchange and liquidity risk are managed by the Group using detailed cash flow forecasting to highlight and mitigate areas of exposure.

The hedging policy agreed by the Board is to give a level of certainty over the foreign exchange fluctuations. This is assessed regularly by the Board, with hedging arrangements in place to mitigate against the biggest risks, whilst balancing that the FX rates have been incredibly volatile in recent years and therefore not always produced a favourable result.

The Group's credit risk is primarily attributable to its trade receivables. The Group is at risk to the extent that a customer may be unable to pay the debt as it is due. The risk is mitigated by the strong on-going customer relationships. The amounts presented in the balance sheet are net of allowances for doubtful receivables. An allowance for impairment is made where there is an identified loss event which, based on previous experience, is evidence of a reduction in the recoverability of the cash flows.

Future developments

The team will acquire Andretti Autosport's current Indianapolis headquarters in 2025, which will add additional functionality and opportunity to grow as a team.

Dividends

The Directors do not propose a dividend for the year ended 31 December 2024 (2023: £nil).

Directors' report (continued)

Directors

The Directors of the Group who were in office during the year and up to the date of signing the financial statements unless otherwise stated were:

Z Brown
M Al Khalifa
C Griffiths
J Moorad
J Najafi
S Ojeh
O Syed
R Trelles Zabala
P Walsh
B Wasson

Directors' indemnities

As permitted by the Articles of Association, the Directors have the benefit of an indemnity which is a qualifying third-party indemnity provision as defined by Section 234 of the Companies Act 2006. The indemnity was in force throughout the last financial year and is currently in force. The Company also purchased and maintained throughout the financial year Directors' and Officers' liability insurance in respect of itself and its Directors.

Disabled employees

The policy of the Group and its subsidiaries is to give full and fair consideration to employment applications by disabled persons and to ensure that disabled employees receive appropriate training and career development opportunities. Employees who become disabled during their working life will be retained in employment wherever possible, with appropriate retraining being given if necessary.

Employee consultation and engagement

The Group is committed to ensuring that its people are actively engaged in the ongoing management and future direction of the business. Regular formal, and informal, briefings are held with all sections of the workforce that cover the business's performance.

All employees are incentivised by a bonus scheme that is predominantly linked to on-track performance of the race team. The Company takes reasonable steps to ensure that all employees, existing and prospective, are given fair and equal opportunity regardless of sex, race, ethnicity, religion or disability.

Post Balance Sheet events

It was announced on 9 December 2024 that Abu Dhabi-based CYVN Holdings is to partner with existing shareholder Mumtalakat, to acquire a non-controlling interest in the McLaren Racing Group. The transaction is expected to complete within H1 2025.

In Q1 2025, 1,872,525 share warrants of £0.01 were converted into equity shares.

Directors' report (continued)

Statement of directors' responsibilities in respect of the financial statements

The Directors are responsible for preparing the Annual report and consolidated financial statements (the 'Annual report') in accordance with applicable law and regulation.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Directors have prepared the Group and Company financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland", and applicable law).

Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Group and Company and of the profit or loss of the Group and company for that period. In preparing the financial statements, the Directors are required to:

- Select suitable accounting policies and then apply them consistently;
- State whether applicable United Kingdom Accounting Standards, comprising FRS 102, have been followed, subject to any material departures disclosed and explained in the financial statements;
- Make judgements and accounting estimates that are reasonable and prudent; and
- Prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Group and Company will continue in business.

The Directors are also responsible for safeguarding the assets of the Group and Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Group's and Company's transactions and disclose with reasonable accuracy at any time the financial position of the Group's and Company's and enable them to ensure that the financial statements comply with the Companies Act 2006.

Directors' confirmations

In the case of each Director in office at the date the Directors' Report is approved:

- So far as the Director is aware, there is no relevant audit information of which the Group's and Company's auditors are unaware; and
- They have taken all the steps that they ought to have taken as a Director in order to make themselves aware of any relevant audit information and to establish that the Group's and Company's auditors are aware of that information.

Independent auditors

The auditors, PricewaterhouseCoopers LLP, have indicated their willingness to continue in office and a resolution that they be reappointed will be proposed at the annual general meeting.

The Directors' report was approved by order of the Board of Directors on 21 March 2025 and signed on its behalf.



Z Brown
Director, McLaren Racing Limited

Registered Office:
McLaren Technology Centre
Chertsey Road
Woking,
Surrey,
GU21 4YH

Independent auditors' report

Independent auditors' report to the members of McLaren Racing Limited

Report on the audit of the financial statements

Opinion

In our opinion, McLaren Racing Limited's group financial statements and company financial statements (the "financial statements"):

- give a true and fair view of the state of the group's and of the company's affairs as at 31 December 2024 and of the group's and company's profit and the group's cash flows for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland", and applicable law); and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements, included within the Annual report and consolidated financial statements (the "Annual Report"), which comprise: the Consolidated and Company balance sheets as at 31 December 2024; the Consolidated and Company profit and loss accounts, the Consolidated and Company statements of comprehensive income, the Consolidated and Company statements of changes in equity and the Consolidated statement of cash flows for the year then ended; and the notes to the financial statements, which include a description of the significant accounting policies.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities under ISAs (UK) are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We remained independent of the group in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, which includes the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Independent auditors' report (continued)

Our audit approach

Overview

Audit scope

- Full scope audit of McLaren Racing Limited.
- Audit of certain financial statement line items of McLaren Triple Crown Limited, McLaren Indy LLC and McLaren Electric Racing Limited.

Key audit matters

- Fair valuation of the loan notes and warrants (group and company)

Materiality

- Overall group materiality: £5.3m (2023: £4.3m) based on 1% of revenue.
- Overall company materiality: £4.9m (2023: £3.9m) based on 1% of revenue.
- Performance materiality: £3.9m (2023: £3.2m) (group) and £3.7m (2023: £2.9m) (company).

The scope of our audit

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the financial statements.

Key audit matters

Key audit matters are those matters that, in the auditors' professional judgement, were of most significance in the audit of the financial statements of the current period and include the most significant assessed risks of material misstatement (whether or not due to fraud) identified by the auditors, including those which had the greatest effect on: the overall audit strategy; the allocation of resources in the audit; and directing the efforts of the engagement team. These matters, and any comments we make on the results of our procedures thereon, were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

This is not a complete list of all risks identified by our audit.

Independent auditors' report (continued)

The key audit matters below are consistent with last year.

Key audit matter	How our audit addressed the key audit matter
Fair valuation of the loan notes and warrants (group and company) As disclosed in Note 20 to the consolidated financial statements, McLaren Racing Limited has issued 12% unsecured convertible loan notes and warrants for a combined value of £115M. The loan notes are redeemable at the option of the company or mandatorily convertible on occurrence of certain events, into a variable number of equity instruments. The warrants are convertible into a fixed number of shares at the option of the warrant holder. The combined proceeds are initially allocated between the debt (loan notes) and equity (warrants) components on a fair value basis. As the loan notes are classified as non-basic financial instruments, the company subsequently accounts for these at fair value with the changes recognised in the profit and loss account. The initial allocation of the proceeds based on relative fair values on issuance and the ongoing fair valuation of the loan notes at each year end, require significant judgement in the application of valuation methodologies as well as the determination of key assumptions. Management engaged third party valuation experts to assist them in the valuation. The key estimates and assumptions were: • The methodology used to determine the fair value of the loan notes; • Assessing the appropriate credit rating for McLaren Racing Limited; and • Estimating the yield for the expected exit term based on the assessed credit rating.	Our procedures included the following: • Inspecting the underlying documents to understand the terms and conditions of the instrument and independently assessing the accounting treatment applied; • Involving our internal valuation specialists in assessing the models used and assessing the appropriateness of management's key judgements and estimates; and • Assessing whether the disclosures in the financial statements were appropriate and in accordance with FRS 102. Based on the procedures performed, we noted no material issues from our work.

How we tailored the audit scope

We tailored the scope of our audit to ensure that we performed enough work to be able to give an opinion on the financial statements as a whole, taking into account the structure of the group and the company, the accounting processes and controls, and the industry in which they operate.

In assessing the risk of material misstatement to the consolidated financial statements, and to ensure we had adequate quantitative coverage of significant accounts in the financial statements we performed an audit of the complete financial information of McLaren Racing Limited. We also performed audit procedures on specific financial statement line items for three other components.

Independent auditors' report (continued)

The impact of climate risk on our audit

As part of our audit we made enquiries of management to understand the extent of the potential impact of climate risk on the group's and company's financial statements, and we remained alert when performing our audit procedures for any indicators of the impact of climate risk. Our procedures did not identify any material impact as a result of climate risk on the group's and company's financial statements.

Materiality

The scope of our audit was influenced by our application of materiality. We set certain quantitative thresholds for materiality. These, together with qualitative considerations, helped us to determine the scope of our audit and the nature, timing and extent of our audit procedures on the individual financial statement line items and disclosures and in evaluating the effect of misstatements, both individually and in aggregate on the financial statements as a whole.

Based on our professional judgement, we determined materiality for the financial statements as a whole as follows:

	Financial statements - group	Financial statements - company
<i>Overall materiality</i>	£5.3m (2023: £4.3m).	£4.9m (2023: £3.9m).
<i>How we determined it</i>	1% of revenue	1% of revenue
<i>Rationale for benchmark applied</i>	The group's principal focus is winning races and developing the McLaren brand and reputation, leveraging its extensive technology skills and knowledge to build fast and continually evolving racing cars. Strong performance on track and investment in sustainable motorsport results in higher prize and sponsorship revenue. We have chosen total revenue, as opposed to a profit based measure, given the group's focus on increasing revenue through better on-track performance as it invests in a wider offering spanning different motorsport racing series and geographies.	The company is the primary component of the group and contributes the majority of external revenue of the group for the current year. The considerations in determining an appropriate benchmark for the company therefore, were same as for the group.

For each component in the scope of our group audit, we allocated a materiality that is less than our overall group materiality. The range of materiality allocated across components was £1.1m to £4.9m. Certain components were audited to a local statutory audit materiality that was also less than our overall group materiality.

We use performance materiality to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds overall materiality. Specifically, we use performance materiality in determining the scope of our audit and the nature and extent of our testing of account balances, classes of transactions and disclosures, for example in determining sample sizes. Our performance materiality was 75% (2023: 75%) of overall materiality, amounting to £3.9m (2023: £3.2m) for the group financial statements and £3.7m (2023: £2.9m) for the company financial statements.

Independent auditors' report (continued)

In determining the performance materiality, we considered a number of factors - the history of misstatements, risk assessment and aggregation risk and the effectiveness of controls - and concluded that an amount at the upper end of our normal range was appropriate.

We agreed with those charged with governance that we would report to them misstatements identified during our audit above £265,000 (group audit) (2023: £216,500) and £243,800 (company audit) (2023: £192,900) as well as misstatements below those amounts that, in our view, warranted reporting for qualitative reasons.

Conclusions relating to going concern

Our evaluation of the directors' assessment of the group's and the company's ability to continue to adopt the going concern basis of accounting included:

- reviewing management's cash flow forecasts, assessing the group's financing arrangements and considering the overall impact on liquidity;
- assessing the reasonableness of management's severe but plausible downside scenario including the risks from a lower than expected performance by the F1 team; and
- considering the adequacy of the disclosures in the financial statements, particularly Note 3b, Summary of significant accounting policies - going concern.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's and the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

However, because not all future events or conditions can be predicted, this conclusion is not a guarantee as to the group's and the company's ability to continue as a going concern.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Reporting on other information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except to the extent otherwise explicitly stated in this report, any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If we identify an apparent material inconsistency or material misstatement, we are required to perform procedures to conclude whether there is a material misstatement of the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report based on these responsibilities.

Independent auditors' report (continued)

With respect to the Strategic report and Directors' report, we also considered whether the disclosures required by the UK Companies Act 2006 have been included.

Based on our work undertaken in the course of the audit, the Companies Act 2006 requires us also to report certain opinions and matters as described below.

Strategic report and Directors' report

In our opinion, based on the work undertaken in the course of the audit, the information given in the Strategic report and Directors' report for the year ended 31 December 2024 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.

In light of the knowledge and understanding of the group and company and their environment obtained in the course of the audit, we did not identify any material misstatements in the Strategic report and Directors' report.

Responsibilities for the financial statements and the audit

Responsibilities of the directors for the financial statements

As explained more fully in the Statement of directors' responsibilities in respect of the financial statements, the directors are responsible for the preparation of the financial statements in accordance with the applicable framework and for being satisfied that they give a true and fair view. The directors are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the group's and the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group or the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

Based on our understanding of the group and industry, we identified that the principal risks of non-compliance with laws and regulations related to employment regulation, health and safety legislation and other legislation specific to the motorsport industry in which the group operates, and we considered the extent to which non-compliance might have a material effect on the financial statements. We also considered those laws and regulations that have a direct impact on the financial statements such as the Companies Act 2006 and UK and overseas tax legislation as applicable to the group. We evaluated

Independent auditors' report (continued)

management's incentives and opportunities for fraudulent manipulation of the financial statements (including the risk of override of controls), and determined that the principal risks were related to posting inappropriate journal entries to increase revenue or reduce expenditure, and management bias in determining accounting estimates. Audit procedures performed by the engagement team included:

- reviewing the financial statement disclosures and testing to supporting documentation to assess compliance with provisions of relevant laws and regulations described as having a direct effect on the financial statements;
- enquiring of management about existing and potential litigation and claims, and known or suspected instances of non-compliance with laws and regulations and fraud;
- addressing the risk of fraud through management override of controls by testing the appropriateness of journal entries, including journal entries with unusual account combinations, such as, journals crediting revenue where the debit is to an unexpected account;
- challenging assumptions and judgements made by management in their significant accounting estimates that involved considering future events that are inherently uncertain. Such as, the valuation of loan notes and warrants; recoverability of deferred tax and accounting for cash settled share-based payments; and
- communicating relevant identified laws and regulations and potential fraud risks to all engagement team members, including internal specialists, and reminding them to be alert to any indications of fraud or non compliance with laws and regulations throughout the audit.

There are inherent limitations in the audit procedures described above. We are less likely to become aware of instances of non-compliance with laws and regulations that are not closely related to events and transactions reflected in the financial statements. Also, the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusion.

Our audit testing might include testing complete populations of certain transactions and balances, possibly using data auditing techniques. However, it typically involves selecting a limited number of items for testing, rather than testing complete populations. We will often seek to target particular items for testing based on their size or risk characteristics. In other cases, we will use audit sampling to enable us to draw a conclusion about the population from which the sample is selected.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditors' report.

Use of this report

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

Independent auditors' report (continued)

Other required reporting

Companies Act 2006 exception reporting

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- we have not obtained all the information and explanations we require for our audit; or
- adequate accounting records have not been kept by the company, or returns adequate for our audit have not been received from branches not visited by us; or
- certain disclosures of directors' remuneration specified by law are not made; or
- the company financial statements are not in agreement with the accounting records and returns.

We have no exceptions to report arising from this responsibility.

James Cadzow (Senior Statutory Auditor)
for and on behalf of PricewaterhouseCoopers LLP
Chartered Accountants and Statutory Auditors
Watford
March 2025

Consolidated profit and loss account

for the year ended 31 December 2024

	Note	2024	2023
		£000	£000 (Restated)*
Turnover	5	530,314	431,082
Cost of sales		(388,541)	(318,026)
Gross profit		141,773	113,056
Administrative expenses		(104,970)	(96,454)
Other operating income		20,798	13,896
Operating profit	6	57,601	30,498
Profit before interest and taxation		57,601	30,498
Interest receivable and similar income	9	9,710	8,999
Interest payable and similar expenses	9	(29,775)	(27,906)
Profit before taxation		37,536	11,591
Tax on profit	10	16,621	1,328
Profit for the financial year		54,157	12,919

Consolidated statement of comprehensive income

for the year ended 31 December 2024

		2024	2023
		£000	£000
Profit for the financial year		54,157	12,919
Other comprehensive income			
Deferred tax movement on revaluation reserve		(538)	165
Cash flow hedges:			
- Changes in the value of hedging instrument, net of deferred tax	21	(6,042)	1,826
(Loss) / Gain on foreign currency translation reserve		(192)	163
Total comprehensive income for the year		47,385	15,073

Total comprehensive income attributable to:

	2024	2023
	£000	£000
Owners of the parent	46,899	14,759
Non-controlling interests	486	314
Total comprehensive income for the year	47,385	15,073

All items dealt with in arriving at the profit before taxation relate to continuing operations.

The notes on pages 32 to 69 form an integral part of these consolidated financial statements.

*Refer to note 8 for details

Company profit and loss account

for the year ended 31 December 2024

	Note	2024	2023
		£000	£000 (Restated)*
Turnover	5	488,393	386,968
Cost of sales		(375,023)	(303,862)
Gross profit		113,370	83,106
Administrative expenses		(91,203)	(83,850)
Other operating income		26,295	25,636
Operating profit	6	48,462	24,892
Profit before interest and taxation		48,462	24,892
Interest receivable and similar income	9	14,993	14,381
Interest payable and similar expenses	9	(29,249)	(26,900)
Profit before taxation		34,206	12,373
Tax on profit	10	19,630	(2,437)
Profit for the financial year		53,836	9,936

Company statement of comprehensive income

for the year ended 31 December 2024

		2024	2023
		£000	£000
Profit for the financial year		53,836	9,936
Other comprehensive income			
Deferred tax movement on revaluation reserve		8	165
Cash flow hedges:			
- Changes in the value of hedging instrument, net of deferred tax	21	(6,042)	1,826
Total comprehensive income for the year		47,802	11,927

All items dealt with in arriving at the profit before taxation relate to continuing operations.

The notes on pages 32 to 69 form an integral part of these financial statements.

*Refer to note 8 for details

Consolidated balance sheet

as at 31 December 2024

	Note	2024 £000	2023 £000
Fixed assets			
Intangible assets	11	7,016	7,601
Tangible assets	12	81,631	80,692
Heritage assets	13	21,306	23,826
		<u>109,953</u>	<u>112,119</u>
Current assets			
Inventories	15	29,462	31,621
Debtors	16	151,723	90,645
Investments	17	21,090	15,142
Cash at bank and in hand		237,417	138,942
		<u>439,692</u>	<u>276,350</u>
Creditors: Amounts falling due within one year	18	<u>(488,826)</u>	<u>(241,375)</u>
Net current (liabilities) / assets		<u>(49,134)</u>	<u>34,975</u>
Total assets less current liabilities		<u>60,819</u>	<u>147,094</u>
Creditors: Amounts falling due after more than one year	19	<u>(66,621)</u>	<u>(197,286)</u>
Net liabilities		<u>(5,802)</u>	<u>(50,192)</u>
Capital and reserves			
Called up share capital	21	50	50
Shares to be issued		38,300	38,300
Revaluation reserve		13,841	14,504
Other reserves	21	(2,250)	3,792
Foreign currency translation reserve		(123)	69
Accumulated losses		<u>(55,620)</u>	<u>(107,783)</u>
Equity attributable to owners of the parent		<u>(5,802)</u>	<u>(51,068)</u>
Non-controlling interest	23	-	876
Total deficit		<u>(5,802)</u>	<u>(50,192)</u>

The notes on pages 32 to 69 are an integral part of these consolidated financial statements.

The consolidated financial statements of McLaren Racing Limited on pages 25 to 69 were authorised for issue by the Board of Directors on 21 March 2025 and signed on its behalf by:



Zak Brown
Director
Registered number 01517478

Company balance sheet

as at 31 December 2024

	Note	2024 £000	2023 £000
Fixed assets			
Intangible assets	11	631	-
Tangible assets	12	73,399	71,591
Heritage assets	13	8	758
Investments	14	8,695	8,695
		<u>82,733</u>	<u>81,044</u>
Current assets			
Inventories	15	27,615	29,742
Debtors	16	247,473	179,921
Investments	17	21,090	15,142
Cash at bank and in hand		214,014	127,689
		<u>510,192</u>	<u>352,494</u>
Creditors: Amounts falling due within one year	18	(468,324)	(225,488)
Net current assets		<u>41,868</u>	<u>127,006</u>
Total assets less current liabilities		<u>124,601</u>	<u>208,050</u>
Creditors: Amounts falling due after more than one year	19	(64,389)	(195,640)
Net assets		<u>60,212</u>	<u>12,410</u>
Capital and reserves			
Called up share capital	21	50	50
Shares to be issued		38,300	38,300
Revaluation reserve		37	154
Other reserves	21	(2,250)	3,792
Accumulated profits/(losses)		24,075	(29,886)
Total equity		<u>60,212</u>	<u>12,410</u>

The notes on pages 32 to 69 are an integral part of these financial statements.

The financial statements of McLaren Racing Limited on pages 25 to 69 were authorised for issue by the Board of Directors on 21 March 2025 and signed on its behalf by:


Zak Brown
Director
Registered number 01517478

Consolidated statement of changes in equity
for the year ended 31 December 2024

	Called-up share capital	Shares to be issued	Revaluation reserve	Accumulated losses	Foreign currency translation reserve	Other reserves	Non- controlling interest	Total equity
	£000	£000	£000	£000	£000	£000	£000	£000
At 1 January 2023	50	38,300	14,714	(120,776)	(81)	1,966	562	(65,265)
Profit for the financial year	-	-	-	12,618	-	-	301	12,919
Other comprehensive income	-	-	165	-	150	1,826	13	2,154
Total comprehensive income for the year	-	-	165	12,618	150	1,826	314	15,073
Transfer	-	-	(375)	375	-	-	-	-
At 31 December 2023	50	38,300	14,504	(107,783)	69	3,792	876	(50,192)
At 1 January 2024	50	38,300	14,504	(107,783)	69	3,792	876	(50,192)
Profit for the financial year	-	-	-	53,624	-	-	533	54,157
Other comprehensive expenses	-	-	(538)	-	(145)	(6,042)	(47)	(6,772)
Total comprehensive (expense)/income for the year	-	-	(538)	53,624	(145)	(6,042)	486	47,385
Transfer	-	-	(125)	125	-	-	-	-
Acquisition of minority interest (note 23)	-	-	-	(1,586)	(47)	-	(1,362)	(2,995)
At 31 December 2024	50	38,300	13,841	(55,620)	(123)	(2,250)	-	(5,802)

The transfer of reserves of £125K (2023: £375K) is in respect of the revaluation movement on the sale of heritage cars.

Company statement of changes in equity
for the year ended 31 December 2024

	Called-up Share Capital	Shares to be issued	Revaluation reserve	Retained Earnings/ (Accumulated losses)	Other Reserves	Total Equity
	£000	£000	£000	£000	£000	£000
At 1 January 2023	50	38,300	364	(40,197)	1,966	483
Profit for the financial year	-	-	-	9,936	-	9,936
Other comprehensive income	-	-	165	-	1,826	1,991
Total comprehensive income	-	-	165	9,936	1,826	11,927
Transfer	-	-	(375)	375	-	-
At 31 December 2023	50	38,300	154	(29,886)	3,792	12,410
At 1 January 2024	50	38,300	154	(29,886)	3,792	12,410
Profit for the financial year	-	-	-	53,836	-	53,836
Other comprehensive income/(expense)	-	-	8	-	(6,042)	(6,034)
Total comprehensive income/(expense)	-	-	8	53,836	(6,042)	47,802
Transfer	-	-	(125)	125	-	-
At 31 December 2024	50	38,300	37	24,075	(2,250)	60,212

The transfer of reserves includes £125K (2023: £375K) is in respect of the revaluation movement on the sale of heritage cars.

Consolidated statement of cash flows

for the year ended 31 December 2024

	Note	2024 £000	2023 £000
Net cash from operating activities	26	159,839	79,535
Taxation paid		1,895	-
Net cash generated from operating activities		161,734	79,535
Cash flow from investing activities:			
Purchase of intangible assets	11	(658)	-
Purchase of tangible assets	12	(21,667)	(34,722)
Proceeds from disposal of tangible assets		54	113
Proceeds from disposal of heritage assets		6,935	4,221
Purchase of short-term investment	17	(5,948)	(15,142)
Interest received		7,826	5,646
Payment for settlement of deferred consideration for acquisition of the subsidiary		-	(8,362)
Net cash used in investing activities		(13,458)	(48,246)
Cash flow from financing activities:			
Repayments of obligations under finance lease		(984)	(899)
Interest paid		(5,476)	(4,889)
Purchase of share in subsidiary	23	(2,995)	-
(Repayment of) / proceeds from issue of loan notes	20	(40,000)	2,393
Net cash used in financing activities		(49,455)	(3,395)
Net increase in cash and cash equivalents		98,821	27,894
Cash and cash equivalents at the beginning of the year		138,942	110,358
Effect of foreign exchange rate changes		(346)	690
Cash and cash equivalents at the end of the year		237,417	138,942

The notes on pages 32 to 69 form an integral part of these consolidated financial statements.

Notes to the financial statements

1. General Information

McLaren Racing Limited (the "Company") and its subsidiaries (together the "Group") is a private limited company incorporated in the United Kingdom and registered in England. The address of the registered office is McLaren Technology Centre, Chertsey Road, Woking, Surrey, GU21 4YH. The Company is limited by shares.

The nature of the Group's operations and its principal activities are to participate in a number of motor racing series throughout the world, most notably in Formula One ("F1"). This includes the design, development, manufacture and racing of F1 cars. The Group had entries into the Extreme E, Formula E, Esports and IndyCar series. The Company also sold its own heritage cars as part of its business activities, although this is not expected to continue beyond 2024.

2. Statement of compliance

The group and standalone financial statements of McLaren Racing Limited have been prepared in compliance with United Kingdom Accounting Standards, including Financial Reporting Standard 102 (FRS 102) and the Companies Act 2006.

3. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these consolidated and standalone financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

a. Basis of Preparation

These consolidated and standalone financial statements are prepared on a going concern basis, under the historical cost convention, as modified by the recognition of certain financial assets and liabilities measured at fair value.

The preparation of financial statements in conformity with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements, are disclosed in note 4. The Group has taken advantage of the exemption in section 405 of the Companies Act from including McLaren Marketing Limited as the inclusion of this subsidiary does not change the true and fair view.

b. Going concern

The Directors have prepared cash flow forecasts based on the updated Business plan which covers a period of at least 12 months from the date of approval of the financial statements and in that process have also assessed the Group's financing arrangements and the overall impact on liquidity. The Directors have also considered a severe but plausible downside scenario including the risks from a lower than expected performance by the F1 team. Consequently, the Directors are confident that the Group and the Company have sufficient funds to continue to meet their liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

Notes to the financial statements (continued)

3. Summary of significant accounting policies (continued)

c. Exemptions for qualifying entities under FRS 102

FRS 102 allows a qualifying entity, certain disclosure exemptions, subject to certain conditions, which have been complied with, including notification of, and no objection to, the use of exemptions by the Company's shareholders.

The Company has taken advantage of the following exemptions:

- From preparing a company statement of cash flows, on the basis that it is qualifying entity and the consolidated statement of cash flows, include in these financial statements, includes the company's cash flow as per section 7 Statement of Cash Flows and paragraph 3.17(d)
- from the financial instrument disclosures, required under FRS 102 paragraphs, 11.42, 11.44, 11.45, 11.47, 11.48(a)(iii), 11.48(a)(iv), 11.48(b), 11.48(c), 12.26, 12.27, 12.29(a), 12.29(b) and 12.29A, as the information is provided in the consolidated financial statement disclosures.

d. Basis of consolidation

The consolidated financial statements include the financial statements of the company and all of its material subsidiaries as explained below.

McLaren Marketing Limited continued to be immaterial as of and for the year ended on 31 December 2024 and accordingly, was not included in the consolidated financial statements of the group.

A subsidiary is an entity controlled by the group. Control is the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. Any subsidiary undertaking acquired during the year is included from the date of change of control.

All intra-group transactions, balance, income and expenses are eliminated on consolidation.

e. Goodwill

Goodwill recognised represents the excess of the fair value and directly attributable costs of the purchase consideration over the fair values to the group's interest in the identifiable net assets, liabilities and contingent liabilities acquired.

Goodwill is amortised over its expected useful life which is estimated to be 5 years for the acquisition of Mercedes-Benz Formula E Limited and 8 years for the acquisition of McLaren Indy LLC. Goodwill is assessed for impairment when there are indicators of impairment and any impairment is charged to the profit and loss account. No reversals of impairment are recognised. The customer intangible recognised as part of the business acquisition, is being amortised over a period of 8 years aligned with the length of the underlying contract.

Notes to the financial statements (continued)

3. Summary of significant accounting policies (continued)

f. Foreign currency

The Group's functional and presentational currency is the pound sterling.

Foreign currency transactions are translated into the functional currency at the rates ruling at the beginning of the month in which the transactions took place, unless they are deemed to be materially different to the spot rate, in which case spot exchange rates are used.

At each period end foreign currency monetary items are translated using the closing rate. Non-monetary items measured at historical cost are translated using the exchange rate at the date of the transaction.

Foreign exchange gains and losses resulting from the settlement of transactions and from the translation at period-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the profit and loss account.

Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in the profit and loss account within interest receivable/(payable). The trading results of overseas undertakings are translated into sterling at the average exchange rates for the year. The assets and liabilities are translated at the exchange rates ruling at the year end. Exchange adjustments arising from the retranslation of opening net investments and from the translation of the profits and losses at average rates are recognised in 'Other comprehensive income/(expense)'.

g. Revenue recognition

Revenue is measured at the fair value of the consideration received or receivable and represents the amount receivable for goods supplied or services rendered, net of returns, discounts and rebates allowed and value added taxes.

Revenue represents prize money associated with participation in the relevant motorsport championships, sponsorship fees, royalties, licensing, technical consultancy and the sale of heritage cars.

Formula One prize money revenues attributable to each racing team are governed by a specific agreement and depend upon, among other factors, the prior year ranking of the team and the current year profits of F1, the commercial rights holder. This revenue is recognised over the relevant year of the Formula One Championship season to which it relates.

For IndyCar, prize money is paid per IndyCar race, and then also at the end of the season based on overall finishing position.

Formula E and Extreme E prize funds are based on the final classification, paid in the same financial year.

Sponsorship income is deferred and recognised over the period in which the Group performs its obligations under the sponsorship contract. Revenues from brand licensing agreements where the customer has a right to access the Group's brands or the contract includes minimum guaranteed payments are recognised on a straight-line basis over the contract term.

Licensing revenues in excess of the minimum guaranteed payments are recognised when the related conditions are satisfied. Revenues from sales-based licensing agreements are recognised when the sales occur.

Income from the sale of goods including income associated with heritage cars is recognised when the risks and rewards of the goods have passed to the customer.

Income related to the technical consultancy is recognised on completion of the contracted deliverables.

In certain cases, the Group enters into agreements with suppliers whereby goods and services are received in exchange for various sponsorship and marketing activities. In such cases revenue is recorded at the fair value of the goods or services.

Interest income is recognised using the effective interest method.

Notes to the financial statements (continued)

3. Summary of significant accounting policies (continued)

g. Revenue recognition (continued)

Other Income

(i) Government grants

A government grant is assistance by government in the form of a transfer of resources to an entity in return for past or future compliance with specified conditions relating to the operating activities of the entity.

The Group classifies grants either as grants relating to revenue or grants relating to assets. Grants relating to revenue are recognised in income on a systematic basis over the periods in which the group recognises the related costs for which the grant is intended to compensate.

A grant that becomes receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support with no future related costs is recognised in income in the period in which it becomes receivable.

Grants relating to assets are recognised in income on a systematic basis over the expected useful life of the asset.

(ii) R&D Tax credits

McLaren Racing Limited are entitled to claim special tax deductions for investments in qualifying assets or in relation to qualifying expenditure (for example, the Research and Development Tax Incentive regime in the UK).

In the Group's and Company's financial statements, allowances for such tax credits are recognised in profit and loss as other operating income.

h. Research and development

Research expenditure is recognised to the profit and loss account in the period it is incurred.

Development expenditure is capitalised only where there is a clearly defined project, the expenditure is separately identifiable, the outcome of the project can be assessed with reasonable certainty, aggregate costs are not expected to exceed related future sales and adequate resources exist to enable the project to be completed.

Research and development tax credit is treated as grant income per section 24 of FRS 102 and recognised as other operating income in the Profit and loss account.

Any withheld portion to be treated as Deferred tax asset and to be offset against future taxable profit.

Notes to the financial statements (continued)

3. Summary of significant accounting policies (continued)

i. Employee benefits

(i) Defined contribution pension plans

The Group participates in a defined contribution pension scheme and also pays contributions to personal pension schemes of certain employees. A defined contribution plan is a pension plan under which the Group pays fixed contributions to a separate entity. Once the contributions have been paid the Group has no further payment obligations. The contributions are recognised as an expense when they are due. Amounts not paid are shown in accruals in the balance sheet. The assets of the plan are held separately from the Company in independently administered funds.

(ii) Short-term benefits

Short-term benefits, including holiday pay and other similar monetary benefits, are recognised as an expense in the period in which the service is rendered.

(iii) Annual bonus plan

The Group operates a number of annual bonus plans for employees. An expense is recognised in the profit and loss account when the Group has a legal or constructive obligation to make payments under the plans as a result of past events and a reliable estimate of the obligation can be made.

(iv) Termination benefits

The Group recognises termination benefits as a liability and an expense when it is able to demonstrate a detailed formal plan for the termination without realistic possibility of withdrawal from the plan. The termination benefit is measured at the best estimate of the expenditure that would be required to settle the obligation at the reporting date.

(v) Long term incentive plans

The group operates cash-settled long term incentive plans at an operating business level for certain members of management. The plans are based on the business's performance over a five-year period against budget on a variety of measures, including revenue growth, an adjusted profit measure, free cash flows, net debt and performance on track. A liability for the plan is raised on the estimated amount payable in terms of the incentive scheme plans.

(vi) Share based payments

Cash-settled share options are measured at fair value at the balance sheet date. The Group recognises a liability at the balance sheet date based on the fair value, taking into account the estimated number of options that will actually vest and the current proportion of the vesting period that has lapsed. Changes in the value of this liability are recognised in the profit and loss account.

Notes to the financial statements (continued)

3. Summary of significant accounting policies (continued)

k. *Taxation*

Taxation expense for the period comprises current and deferred tax recognised in the reporting period. Tax is recognised in the profit and loss account, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case tax is also recognised in other comprehensive income or directly in equity respectively.

Current or deferred taxation assets and liabilities are not discounted.

(i) *Current tax*

Current tax is the amount of income tax payable in respect of the taxable profit for the year or prior years. Tax is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the period end.

(ii) *Deferred tax*

Deferred tax arises from timing differences that are differences between taxable profits and total comprehensive income as stated in the financial statements. These timing differences arise from inclusion of income and expenses in the tax assessments of different periods than those in which they are recognised in financial statements.

Deferred tax is recognised on all timing differences that have originated but not reversed at the reporting date where transactions or events that result in an obligation to pay more tax in the future or a right to pay less tax in the future have occurred at the reporting date.

Unrelieved tax losses and other deferred tax assets are only recognised when it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Deferred tax is measured using tax rates and laws that have been enacted or substantively enacted by the period end and that are expected to apply to the reversal of the timing difference.

Deferred tax is charged or credited to the profit and loss account, except when it relates to items charged or credited directly to equity or other comprehensive income. The gain on revaluation of heritage assets recorded in revaluation reserve, is net off the related deferred tax liability. This is released to the profit and loss account in the year the underlying heritage asset is sold.

l. *Intangible assets*

Intangible assets are stated at cost less accumulated amortisation and accumulated impairment losses. Amortisation is calculated, using the straight-line method, to allocate the depreciable amount of the assets to their residual values over their estimated useful lives, as follows:

Goodwill	- 5-8 years
Customer relationship	- 8 years aligned with the length of the underlying contract
Software	- 3-5 years

Amortisation is included in 'administrative expenses' in the profit and loss account.

Notes to the financial statements (continued)

3. Summary of significant accounting policies (continued)

m. *Tangible assets*

Tangible assets are stated at cost less accumulated depreciation and accumulated impairment losses. Cost includes the original purchase price and costs directly attributable to bringing the asset to its working condition for its intended use.

Depreciation is provided on a straight-line basis over the estimated useful lives of the assets at the following rates:

Leasehold premises and improvements	- the shorter of 5 years or the lease life
Plant, machinery, tools and equipment	- 5-10 years
Motor vehicles	- 4 years
Fixtures, fittings and office equipment	- 3-5 years

Assets in the course of construction are stated at cost. These assets are not depreciated until they are available for use.

The assets residual values and useful lives are reviewed, and adjusted, if appropriate, at the end of each reporting period. The effect of any change is accounted for prospectively.

Tangible assets are derecognised on disposal or when no future economic benefits are expected. On disposal, the difference between the net disposal proceeds and the carrying amount is recognised in the profit and loss account.

Repairs, maintenance and minor inspection costs are expensed as incurred.

n. *Heritage assets*

The Group has a collection of heritage vehicles. Under previous UK GAAP the Company had a policy of revaluing Heritage assets every 5 years. On transition to FRS 102 the Group elected to follow the cost model and use the previous revaluation at 31 December 2013 as the deemed cost for the assets. Heritage assets are stated at cost and accumulated impairment losses. Cost includes any costs that are directly attributable to bringing the asset to its working condition for its intended use.

The vehicles are maintained by the business on a regular basis with maintenance costs being charged to the profit and loss account when incurred. The Directors do not consider the value of the car to decrease and therefore adopt the depreciation policy of 0% on cost.

In addition, McLaren Racing Limited has a collection of racing memorabilia, including trophies and helmets, which the Directors have not sought to value and is therefore not recognised on the balance sheet.

o. *Leased assets*

At inception the Group assesses agreements that transfer the right to use assets.

The assessment considers whether the arrangement is, or contains, a lease based on the substance of the arrangement.

(i) *Finance leased assets*

Leases of assets that transfer substantially all the risks and rewards incidental to ownership are classified as finance leases. Finance leases are capitalised at commencement of the lease as assets at the fair value of the leased asset or, if lower, the present value of the minimum lease payments calculated using the interest rate implicit in the lease. Where the implicit rate cannot be determined the Group's incremental borrowing rate is used. Incremental direct costs, incurred in negotiating and arranging the lease, are included in the cost.

Assets are depreciated over the shorter of the lease term and the estimated useful life of the asset. Assets are assessed for impairment at each reporting date.

Notes to the financial statements (continued)

3. Summary of significant accounting policies (continued)

o. Leased assets (continued)

The capital element of lease obligations is recorded as a liability on inception of the arrangement. Lease payments are apportioned between capital repayment and finance charge, using the effective interest rate method, to produce a constant rate of charge on the balance of the capital repayments outstanding.

(ii) Operating leased assets

Leases that do not transfer all the risks and rewards of ownership are classified as operating leases. Payments under operating leases are charged to the profit and loss account on a straight-line basis over the period of the lease.

(iii) Lease incentives

Incentives received to enter into a finance lease reduce the fair value of the asset and are included in the calculation of present value of minimum lease payments.

Incentives received to enter into an operating lease are credited to the profit and loss account, to reduce the lease expense, on a straight-line basis over the period of the lease.

p. Impairment of non-financial assets

At each balance sheet date non-financial assets not carried at fair value are assessed to determine whether there is an indication that the asset may be impaired. If there is such an indication the recoverable amount of the asset is compared to the carrying amount of the asset.

The recoverable amount of the asset is the higher of the fair value less costs to sell and value in use. Value in use is defined as the present value of the future cash flows before interest and tax obtainable as a result of the asset's continued use. These cash flows are discounted using a pre-tax discount rate that represents the current market risk-free rate and the risks inherent in the asset.

If the recoverable amount of the asset is estimated to be lower than the carrying amount, the carrying amount is reduced to its recoverable amount. An impairment loss is recognised in the profit and loss account unless the asset has been revalued when the amount is recognised in other comprehensive income to the extent of any previously recognised revaluation. Thereafter any excess is recognised in the profit and loss account.

If an impairment loss is subsequently reversed, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but only to the extent that the revised carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised in prior periods. A reversal of an impairment loss is recognised in the profit and loss account.

q. Investments

Investment in subsidiary companies is held at cost less accumulated impairment losses.

Notes to the financial statements (continued)

3. Summary of significant accounting policies (continued)

r. Inventories

Inventories are stated at the lower of cost and net realisable value.

Cost includes materials, direct labour and an attributable proportion of manufacturing overheads based on normal levels of activity. Net realisable value is based on estimating selling price, less further costs expected to be incurred to completion and disposal. Provision is made for obsolete, slow-moving or defective items where appropriate. Standard costs are used to value stock.

Formula One racing cars usually have an expected life of one year and all expenditure on the production and maintenance of such cars is charged to the profit and loss account during the racing season in which the racing car is used. The board considers that research and development continues to play a vital role in the Group's success. The Group carries forward to the following year certain development costs incurred in the current year which relate to the production of next season's racing car. IndyCar race cars remain largely the same from year-to-year with limited development. Parts are expensed through the profit and loss account in the year in which they are first used.

The Directors consider this policy to be appropriate because the considerable and valuable effort expended in preparing a racing car is recognised as an asset and charged in the period in which the corresponding racing arises and benefit is therefore derived.

Heritage cars are held at deemed cost, including any costs that are directly attributable to bringing the asset to its working condition for its intended use. Under previous UK GAAP the Group had a policy of revaluing Heritage assets every 5 years. On transition to FRS 102 the Group elected to follow the cost model and use the previous revaluation at 31 December 2013 as the deemed cost for the assets.

Within the Electric Racing series, stocks are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Cost is based on the cost of purchase on a first in, first out basis. Work in progress and finished goods include labour and attributable overheads.

At each balance sheet date, stocks are assessed for impairment. If stock is impaired, the carrying amount is reduced to its selling price less costs to complete and sell. The impairment loss is recognised immediately in profit or loss.

s. Cash and cash equivalents

Cash and cash equivalents include cash at bank and in hand, short-term deposits and bank overdrafts.

Bank overdrafts are shown within borrowing in current liabilities.

Short-term deposits include short-term highly liquid investments with original maturities of three months or less. Where original maturities are longer than three months, these deposits are included within current asset investments.

t. Provisions and contingencies

(i) Provisions

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount of the obligation can be estimated reliably.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognised as a finance cost.

Notes to the financial statements (continued)

3. Summary of significant accounting policies (continued)

t. Provisions and contingencies (continued)

(ii) Contingencies

Contingent liabilities are not recognised, except those acquired in a business combination. Contingent liabilities arise as a result of past events when (i) it is not probable that there will be an outflow of resources or that the amount cannot be reliably measured at the reporting date or (ii) when the existence will be confirmed by the occurrence or non-occurrence of uncertain future events not wholly within the group's control. Contingent liabilities are disclosed in the financial statements unless the probability of an outflow of resources is remote.

Contingent assets are not recognised. Contingent assets are disclosed in the financial statements when an inflow of economic benefits is probable.

u. Financial instruments

The Group has chosen to adopt Sections 11 and 12 of FRS 102 in respect of financial instruments.

(i) Financial assets

Basic financial assets, including trade and other receivables (except for prepayments) and cash and bank balances are initially recognised at transaction price. Such assets are subsequently carried at amortised cost using the effective interest method. At the end of each reporting period financial assets measured at amortised cost are assessed for objective evidence of impairment. If an asset is impaired the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the assets original effective interest rate. The impairment loss is recognised in profit and loss account.

Financial assets are derecognised when (a) the contractual rights to the cash flows from the asset expire or are settled, or (b) substantially all the risks and rewards of the ownership of the asset are transferred to another party or (c) despite having retained some significant risks and rewards of ownership, control of the asset has been transferred to another party who has the practical ability to unilaterally sell the asset to an unrelated third party without imposing additional restrictions.

(ii) Financial liabilities

Basic financial liabilities, including trade and other payables (except for deferred income), bank loans and loans from fellow Group companies are initially recognised at transaction price, unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future receipts discounted at a market rate of interest.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a prepayment for liquidity services and amortised over the period of the facility to which it relates.

Trade payables are obligations to pay for goods and services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities.

Trade payables are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Derivatives, including forward foreign exchange contracts, are not basic financial instruments.

Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured at their fair value through other comprehensive income. Financial liabilities are derecognised when the liability is extinguished, that is when the contractual obligation is discharged, cancelled or expires.

Notes to the financial statements (continued)

3. Summary of significant accounting policies (continued)

u. Financial instruments (continued)

(iii) Warrants and loan notes

The loan notes are redeemable at the option of the Group or mandatorily convertible on occurrence of certain events, into variable number of Group's equity instruments. These are therefore classified as non-basic financial instruments and held at fair value with the gains or losses as a result of change in fair value being recognised in the profit and loss account.

The warrants contain an obligation for the Group to issue a fixed number of equity instruments for a fixed amount of exercise price at the option of the warrant holder. These are therefore, recognized as equity at the premium received and not subsequently revalued. The premium received is recognised in a reserve called 'shares to be issued'.

On initial accounting, the total consideration received is allocated between the loan notes and warrants on a fair value basis.

(iv) Offsetting

Financial assets and liabilities are offset and the net amounts presented in the financial statements when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

(v) Hedging arrangements

The Group designates certain derivatives as hedging instruments in cash flow hedges to manage the cash flow exposures of working capital. At the inception of the hedge relationship, the entity documents the economic relationship between the hedging instrument and the hedged item, along with its risk management objectives and clear identification of the risk in the hedged item that is being hedged by the hedging instrument. Furthermore, at the inception of the hedge the Group determines, and documents causes for hedge ineffectiveness.

For any forwards entered into, changes in the fair values of derivatives designated as cash flow hedges, and which are effective, are recognised directly in equity. Any ineffectiveness in the hedging relationship (being the excess of the cumulative change in fair value of the hedging instrument since inception of the hedge over the cumulative change in the fair value of the hedged item since inception of the hedge) is recognised in the profit and loss account.

For any options entered into, changes in the fair values of derivatives designated as cash flow hedges, and which are effective, the intrinsic value of the option is recognised directly in equity. Any change in time value since the inception of the hedge is recognised in profit or loss.

Hedge accounting is discontinued when the Group revokes the hedging relationship, the hedging instrument expires or is sold, terminated, or exercised, or no longer qualifies for hedge accounting. Any gain or loss accumulated in equity at that time is reclassified to profit or loss when the hedged item is recognised in profit or loss. When forecast transactions are no longer expected to occur, any gain or loss that was recognised in other comprehensive income is reclassified immediately to profit or loss.

v. Share Capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new ordinary shares or options are shown in equity as a deduction, net of tax, from the proceeds.

w. Related party transactions

The Group discloses transactions with related parties which are not wholly owned within the same Group. Where appropriate, transactions of a similar nature are aggregated unless, in the opinion of the Directors, separate disclosure is necessary to understand the effect of the transactions on the Group financial statements.

The Company does not disclose transactions with members of the same Group that are wholly owned.

Notes to the financial statements (continued)

4. Critical accounting judgements and key sources of estimation uncertainty

In the application of the Group's accounting policies, which are described in note 3, the Directors are required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

Share-based compensation

The estimation of Group's liability under its cash settled share-based payment scheme involves significant judgement in ascertaining the value of its unlisted equity shares and the probability of the vesting conditions being met.

Accounting for loan notes and warrants

The allocation of total proceeds between loan notes and warrants requires fair valuation and involves the following key judgements and estimates:

- Determining the most appropriate basis for allocation of proceeds; and
- Determining the most appropriate valuation methodology to ascertain the fair value of the debt element.

The subsequent fair valuation of the loan notes involves the following judgements and estimates:

- Determining the term to exit; and
- Re-assessment of the shadow credit rating to determine the yield at 31 December 2024.

Recoverability of deferred tax assets

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised. Recognition, therefore, involves judgement regarding the prudent forecasting of future taxable profits of the business. The recoverability of tax losses is determined based on Group wide business plans.

Notes to the financial statements (continued)

5. Segment information

Description of business segments and principal activities

The Group's Board of Directors examine Group's performance from four identifiable business segments:

Racing – participates in Formula 1, throughout the world. This includes the design, development, manufacture and racing of Formula 1 cars. In addition, it periodically sells its own heritage cars as part of its business activities.

Electric Racing – participates in Formula E and Extreme E. This includes the design, development, manufacture and racing of Formula E and Extreme E racing cars.

Indy Car – participates in the NTT Indy car series in the US.

Corporate – provides shared services covering heritage asset servicing and management services to Group subsidiaries.

Turnover by business segment

Group	2024	2023
	£000	£000
Racing	488,393	386,968
Electric Racing	36,844	38,771
Indy	45,220	42,779
Corporate	10,318	2,021
	<u>580,775</u>	<u>470,539</u>
Less inter-segmental turnover	<u>(50,461)</u>	<u>(39,457)</u>
	<u>530,314</u>	<u>431,082</u>

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Analysis of turnover by category				
Sales of goods	14,022	10,653	21,459	10,677
Rendering of services	516,292	420,429	466,934	376,291
	<u>530,314</u>	<u>431,082</u>	<u>488,393</u>	<u>386,968</u>

Notes to the financial statements (continued)

5. Segment information (continued)

Revenue from rendering services includes sponsorships, prize money and other income relating to the company's principal activity.

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Analysis of turnover by geography				
United Kingdom	485,094	388,303	488,393	386,968
United States	45,220	42,779	-	-
	530,314	431,082	488,393	386,968

Operating profit before interest and tax by business segment

Group	2024	2023
	£000	£000
Racing	48,463	24,893
Electric Racing	10,560	5,438
Indy	1,290	141
Corporate	(2,712)	26
	57,601	30,498

Notes to the financial statements (continued)

6. Operating profit

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Operating profit is stated after charging / (crediting):				
Depreciation	20,803	13,912	17,511	11,466
Amortisation	1,397	1,401	27	-
Operating lease rentals	8,896	7,652	8,102	6,934
Loss / (Profit) on disposal of fixed assets	54	(113)	54	(113)
R&D Tax Credits	(19,583)	(11,148)	(16,689)	(11,148)
Profit on disposal of heritage assets	(4,652)	(945)	(4,416)	(945)
Impairment of trade receivables	750	1,422	750	1,017
Intra-group management fee income	-	-	(9,443)	(12,450)
	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Fees payable to the Company's auditors and its associates for the audit of the company's and the Group's consolidated financial statements	302	284	302	284
Fees payable to the Company's auditors and its associates for the other services:				
- Audit of the company's subsidiaries	61	58	-	-
- Agreed upon procedures pursuant to FIA Formula 1 Financial Regulations	72	62	72	62
	435	404	374	346

Notes to the financial statements (continued)

7. Employees and directors

Employees	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Employee costs during the year:				
Wages and salaries	106,550	98,882	92,001	87,751
Social security costs	12,192	12,420	10,765	11,102
Other pension costs	4,003	3,318	3,815	3,175
Share-based payments (see note 8)	57,191	20,302	57,191	20,302
	179,936	134,922	163,772	122,330

The average monthly number of persons (including executive directors) employed by the Group and Company during the year was:

	Group	Group	Company	Company
	2024	2023	2024	2023
	Number	Number	Number	Number
Production, Design & Engineering	835	751	728	667
Administration	448	396	395	345
	1,283	1,147	1,123	1,012

Directors

The Directors' emoluments were as follows:

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Highest paid director's emoluments	37,252	26,379	37,252	26,379
	37,252	26,379	37,252	26,379

The company has non-executive directors that do not draw any remuneration from the Company.

Key Management compensation

Key management includes the directors and members of senior management. The compensation paid or payable to key management for employee services is shown below:

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Salaries and other short-term benefits	18,476	12,633	16,938	11,546
Pensions	50	69	-	24
Share-based payments (see note 8)	57,191	20,302	57,191	20,302
	75,717	33,004	74,129	31,872

Notes to the financial statements (continued)

8. Share-based payments

The Company operates a cash-settled share-based payment scheme as part of its remuneration packages for certain employees. These schemes involve the granting of rights to receive cash payments in the future based on the specified vesting criteria linked to events and performance of the Company's shares. The fair value of these schemes is determined at each reporting date and recognized as an expense over the vesting period.

The following table summarises the movements in the liability arising from cash-settled share-based payment arrangement during the reporting year:

Group and Company	2024	2023
	£000	£000
Opening balance	20,302	-
Expense recognised in profit or loss	36,889	20,302
Closing balance	57,191	20,302

The fair value of the liability at the reporting date was determined using the black scholes option pricing model.

In the prior year financial statements, the charge for share based payments was recognised through administrative expenses in the profit and loss account. However, in 2024 it was determined that this charge should align with executive remuneration and therefore recognised in cost of sales. This has resulted in a restatement of the 2023 profit and loss account to reallocate this charge of £20,302K from administrative expenses to cost of sales. This has therefore resulted in a change in gross profit, but no change to operating profit.

Notes to the financial statements (continued)

9. Interest (payable) / receivable and similar (expenses) / income

	Group 2024 £000	Group 2023 £000	Company 2024 £000	Company 2023 £000
a) Interest receivable and similar income				
Other interest receivable	8,689	6,300	13,929	11,682
Net exchange gain	1,021	-	1,064	-
Total interest income on financial assets not measured at fair value through profit and loss	9,710	6,300	14,993	11,682
Gain on derivative financial instrument	-	2,699	-	2,699
Total interest receivable and similar income	9,710	8,999	14,993	14,381
b) Interest payable and similar expense				
Other interest payable and finance charges	(749)	(1,282)	(223)	(484)
Loan notes interest payable	(20,122)	(22,223)	(20,122)	(22,223)
Net exchange loss	-	(3,118)	-	(2,910)
Total interest expense on financial liabilities not measured at fair value through profit and loss	(20,871)	(26,623)	(20,345)	(25,617)
Change in fair value on loan notes	(8,904)	(1,283)	(8,904)	(1,283)
Total interest payable and similar expenses	(29,775)	(27,906)	(29,249)	(26,900)
c) Net interest expense				
Interest receivable and similar income	9,710	8,999	14,993	14,381
Interest payable and similar expense	(29,775)	(27,906)	(29,249)	(26,900)
Net interest expense	(20,065)	(18,907)	(14,256)	(12,519)

The changes in fair value of loan notes represents the net increase in the liability on the optionally convertible loan notes issued in December 2020, June 2021 and December 2022. The net increase was determined by comparing the carrying of the loan notes with their fair value, which was calculated as follows:

- Estimating the yield for the expected exit term based on the assessed credit rating.
- Discounting the value of the Loan Notes at exit using the yield determined above.

Notes to the financial statements (continued)

10. Tax on profit

a) Tax (credit)/charge on profit

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Current tax:				
- UK corporation tax on profits for the year	6,429	4,118	5,371	3,562
- Foreign corporation tax on profits for the year	38	482	38	126
- Adjustments in respect of prior years	(268)	142	67	(103)
Total current tax	6,199	4,742	5,476	3,585
Deferred tax:				
- Origination and reversal of timing differences	6,762	(95)	6,883	94
- Recognition Deferred Tax Assets	(21,167)	(5,531)	(21,167)	(748)
- Adjustments in respect of prior years	(8,415)	(468)	(10,822)	(521)
- Impact of change in tax rate	-	24	-	27
Total deferred tax (see note 22)	(22,820)	(6,070)	(25,106)	(1,148)
Tax (credit)/charge	(16,621)	(1,328)	(19,630)	2,437

(b) Tax included in other comprehensive income

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Deferred tax:				
- Origination and reversal of timing differences	(2,220)	611	(2,090)	611
Tax credit included in other comprehensive income	(2,220)	611	(2,090)	611

Notes to the financial statements (continued)

10. Tax on profit (continued)

(c) Reconciliation of tax (credit)/charge:

The tax assessed for the year is lower than (2023 - higher than) the standard rate of corporation tax in the UK of 25% (2023 - 23.50%). The differences are explained below:

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Profit before taxation	37,536	11,591	34,206	12,373
Profit before taxation multiplied by the effective rate of tax in the UK of 25% (2023: 23.50%)	9,384	2,796	8,551	2,908
Effects of:				
- Withholding Tax suffered	38	126	38	126
- Recognition of previously unrecognised Deferred Tax Assets	(21,167)	(5,531)	(21,167)	(749)
- Expenses not deductible for tax purposes	3,846	1,619	3,703	748
- Impact of overseas tax rates	(39)	(36)	-	-
- Adjustments in respect of prior years	(8,683)	(326)	(10,755)	(623)
- Re-measurement of deferred tax – change in UK tax rate	-	24	-	27
Tax (credit)/charge for year	(16,621)	(1,328)	(19,630)	2,437

(d) Tax rate changes

Deferred tax balances are measured at the rate at which they are expected to reverse.

Any changes in the rate of UK corporation tax will have an impact on the future tax charge. The effective rate that will be in force at the date of reversal is utilised in the measurement of deferred taxes. For the financial year ended 31 December 2024, the current tax rate was 25% (2023 - 23.5%).

The Organisation for Economic Co-operation and Development has published Pillar Two model rules that are designed to address the tax challenges arising from the digitalisation of the global economy. The Pillar Two legislation has been enacted or substantively enacted in certain jurisdictions in which the Group operates, most notably the UK where the parent and principal subsidiaries are tax resident. However, this legislation does not apply to the Group as global revenues have not exceeded €750m in at least two of the previous four years.

Whilst the rules may apply to McLaren in future years, the FRC has issued amendments to FRS 102 introducing a mandatory temporary exception to the requirements under which a company does not recognise or disclose information about the impact on deferred tax assets and liabilities arising from these rules. The McLaren Group have applied this temporary exception at 31st December 2024.

Notes to the financial statements (continued)

11. Intangible assets

Group	Goodwill	Customer relationship	Software	Total
	£000	£000	£000	£000
Cost or valuation:				
At 1 January 2024	8,114	2,121	-	10,235
Additions	-	-	658	658
Foreign exchange translation adjustment	118	36	-	154
At 31 December 2024	8,232	2,157	658	11,047
Accumulated amortisation:				
At 1 January 2024	2,087	547	-	2,634
Amortisation for the year	1,103	267	27	1,397
At 31 December 2024	3,190	814	27	4,031
Net book value:				
At 31 December 2024	5,042	1,343	631	7,016
At 31 December 2023	6,027	1,574	-	7,601

Company	Software	Total
	£000	£000
Cost or valuation:		
At 1 January 2024	-	-
Additions	658	658
At 31 December 2024	658	658
Accumulated amortisation:		
At 1 January 2024	-	-
Amortisation for the year	27	27
At 31 December 2024	27	27
Net book value:		
At 31 December 2024	631	631
At 31 December 2023	-	-

Intangibles represent the goodwill on acquisition of the IndyCar team and the Formula E Team, as well as the value attached to the customer relationship acquired on acquisition of the IndyCar team.

Software assets represent capitalized labour costs associated with the development of intangible assets, primarily technical and trackside software.

Notes to the financial statements (continued)

12. Tangible assets

Group	Leasehold premises and improvements	Plant, machinery, tools and equipment	Motor vehicles	Fixtures, fittings and office equipment	Assets in the course of construction	Total
	£000	£000	£000	£000	£000	£000
Cost or valuation:						
At 1 January 2024	14,265	104,671	4,055	57,977	1,864	182,832
Additions	1,351	5,440	10	5,434	9,432	21,667
Transfers	2,104	5,247	-	1,074	(8,425)	-
Disposals	-	(14)	-	(8)	-	(22)
Foreign exchange translation adjustment	-	175	-	3	-	178
At 31 December 2024	17,720	115,519	4,065	64,480	2,871	204,655
Accumulated depreciation:						
At 1 January 2024	1,472	59,312	3,794	37,433	129	102,140
Charge for the year	1,254	12,384	261	6,904	-	20,803
Disposals	-	(14)	-	(8)	-	(22)
Transfers	-	47	-	(47)	-	-
Foreign exchange translation adjustment	-	103	-	-	-	103
At 31 December 2024	2,726	71,832	4,055	44,282	129	123,024
Net book value:						
At 31 December 2024	14,994	43,687	10	20,198	2,742	81,631
At 31 December 2023	12,793	45,359	261	20,544	1,735	80,692

The net carrying amount of assets held under finance leases included in fixtures, fittings and office equipment is £1,164K (2023: £2,328K).

Notes to the financial statements (continued)

12. Tangible assets (continued)

Company	Leasehold premises and improvements	Plant, machinery, tools and equipment	Motor vehicles	Fixtures, fittings and office equipment	Assets in the course of construction	Total
	£000	£000	£000	£000	£000	£000
Cost or valuation:						
At 1 January 2024	13,572	95,226	3,192	55,303	1,324	168,617
Additions	1,340	5,145	10	4,807	8,017	19,319
Transfers	2,104	3,277	-	1,221	(6,602)	-
Disposals	-	-	-	-	-	-
At 31 December 2024	17,016	103,648	3,202	61,331	2,739	187,936
Accumulated depreciation:						
At 1 January 2024	1,465	55,675	3,192	36,565	129	97,026
Charge for the year	1,251	10,320	1	5,939	-	17,511
Disposals	-	-	-	-	-	-
At 31 December 2024	2,716	65,995	3,193	42,504	129	114,537
Net book value:						
At 31 December 2024	14,300	37,653	9	18,827	2,610	73,399
At 31 December 2023	12,107	39,551	-	18,738	1,195	71,591

The net carrying amount of assets held under finance leases included in fixtures, fittings and office equipment is £1,164K (2023: £2,328K).

Notes to the financial statements (continued)

13. Heritage assets

	Group	Company
	2023	2023
	£000	£000
Cost and Net book value:		
At 1 January 2023	23,901	833
Additions	300	300
Transfer to inventory	(375)	(375)
At 31 December 2023	<u>23,826</u>	<u>758</u>
	Group	Company
	2024	2024
	£000	£000
Cost and Net book value:		
At 1 January 2024	23,826	758
Disposals	(830)	(750)
Transfer to inventory	(1,690)	-
At 31 December 2024	<u>21,306</u>	<u>8</u>

Over the last 50 years McLaren Racing Limited has established a large collection of heritage race cars and other vehicles which chronicle our racing heritage and have been used to serve as promotional vehicles for the brand within the McLaren Technology Centre (MTC) and also at museums, dealerships and heritage track days around the world.

In May 2021, McLaren Racing Limited arranged the sale of a portfolio of its heritage cars to one of its subsidiaries McLaren Triple Crown Limited, these vehicles are currently held as security against borrowings.

Under previous UK GAAP the Company had a policy of revaluing Heritage assets every 5 years. On transition to FRS 102 the Company elected to follow the cost model and use the previous revaluation at 31 December 2013 as the deemed cost for the assets. Heritage assets are stated at cost less accumulated impairment losses. Cost includes any costs that are directly attributable to bringing the asset to its working condition for its intended use. The vehicles are maintained by the business on a regular basis with maintenance costs being charged to the profit and loss account when incurred. The Directors do not consider the value of the car to decrease and therefore have adopted the depreciation policy of 0% on cost.

In addition, McLaren Racing Limited has a collection of racing memorabilia, including trophies and helmets, which the Directors have not sought to value and is therefore not recognised on the balance sheet.

Notes to the financial statements (continued)

14. Investments

The subsidiaries are:

Name	Principal activity	% Holding Ordinary share capital	% Membership Interests	Direct/ Indirect	Nominal value
McLaren Marketing Limited	Dormant	100%	-	Direct	-
McLaren Triple Crown Limited	Heritage Assets management	100%	-	Direct	-
McLaren Racing US LLC	US Holding company of McLaren Indy LLC	-	100%	Direct	-
McLaren Indy LLC	IndyCar race team	-	100%	Indirect	-
McLaren Electric Racing Limited	Electric motorsport racing	100%		Direct	-

McLaren Marketing Limited, McLaren Electric Racing Limited and McLaren Triple Crown Limited are all companies incorporated in the United Kingdom and the registered office is: McLaren Technology Centre, Chertsey Road, Woking, Surrey, GU21 4YH. It is the Director's intention that McLaren Marketing Limited will be dissolved in the near future.

McLaren Racing US LLC's registered office is 1209 Orange Street, Wilmington, Delaware, USA.

McLaren Indy LLC's registered office is 700 S Carson St, Suite 200, Carson City, NV 89701, USA.

McLaren Marketing Limited (Company number 01967716, registered office: McLaren Technology Centre, Chertsey Road, Woking, Surrey, GU21 4YH) has elected to make use of the audit exemption for dormant companies under section 480 of the UK Companies Act.

McLaren Triple Crown Limited, a subsidiary in the Group has elected to make use of the audit exemption for individual accounts under section 479A of the Companies Act, with the parent Company McLaren Racing Limited guaranteeing their financial liabilities.

There is no share capital held in McLaren Racing US LLC but is considered to be 100% owned.

As of 31 December 2024, McLaren Indy LLC is 100% owned by McLaren Racing US LLC. Previously to this, the holding had been 75% since the initial investment in 2021.

Investments in subsidiaries

Company	2024 £000
At 1 January 2024	8,695
Additions	-
At 31 December 2024	<u>8,695</u>

Notes to the financial statements (continued)

15. Inventories

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Racing car development costs	20,250	23,143	19,657	22,769
Raw materials and consumables	6,113	5,241	4,061	3,746
Finished goods and goods for resale	3,099	3,227	3,897	3,227
	29,462	31,611	27,615	29,742

Inventories are stated after provisions for impairment of £380K (2023: £276K).

16. Debtors

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Trade debtors	26,189	12,926	24,387	11,321
Amounts owed by group undertakings	-	-	106,510	100,376
Amounts owed by related parties (note 29)	3,651	2,251	3,651	2,251
Other debtors	34,505	21,368	29,424	17,476
Deferred tax asset (note 22)	38,031	12,990	40,197	13,002
Derivative asset	-	5,086	-	5,086
Prepayments and accrued income	49,347	36,024	43,304	30,409
	151,723	90,645	247,473	179,921

Amounts owed by group undertakings include business transactions, under normal commercial terms, and group loans. Group loans bear interest at Bank of England base rate, are unsecured and are repayable on demand.

Amounts owed by related parties include business transactions, under normal commercial terms. The amounts are interest free, unsecured and repayable on demand.

The Group's trade debtors are net of provisions recognised for doubtful debts of £3,069K (2023: £2,541K).
The Company's trade debtors are net of provisions recognised for doubtful debts of £2,669K (2023: £2,141K).

Disclosure of amounts related to deferred tax asset which are expected to reverse within one year are disclosed in Note 22.

Notes to the financial statements (continued)

17. Current asset investments

Group and Company	2024	2023
	£000	£000
Short-term deposits	21,090	15,142
	21,090	15,142

At 31 December 2024 short term deposits of £21,090K (2023: £15,142K) were held in a National Bank of Bahrain fixed term deposit account accruing interest at a rate of 4.80% (2023: 5.65%). These were entered into in October 2024, maturing within one year, and are measured at amortised cost.

18. Creditors: amounts falling due within one year

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Obligations under finance leases (note 20)	1,077	984	1,077	984
Trade creditors	9,593	11,747	7,992	10,859
Amounts owed to group undertakings	-	-	11,307	2,901
Amounts owed to related parties (note 29)	1,584	1,612	1,584	1,612
Taxation and social security	4,901	4,456	4,484	2,882
Other creditors	2,784	3,373	2,569	3,377
Deferred consideration	2,930	2,941	2,385	2,385
Derivative financial liabilities (note 27)	2,315	-	2,315	-
Optionally convertible loan notes	179,000	29,920	179,000	29,920
Accruals and deferred Income	284,642	186,342	255,611	170,568
	488,826	241,375	468,324	225,488

Accruals and deferred income include amounts payable to employees, including performance bonuses and deferred income representing advances received or invoices raised in advance of performing services, except for invoices raised under contracts where the Group does not have a non-cancellable contractual right of receipt and hence presents these on a net basis.

In 2024, Group Accruals totalled £129,378K (2023: £74,888K) and Company Accruals totalled £124,266K (2023: £71,199K).

Notes to the financial statements (continued)

19. Creditors: amounts falling due after more than one year

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Obligations under finance leases (note 20)	-	1,077	-	1,077
Optionally convertible loan notes	-	164,780	-	164,780
Deferred Consideration	2,232	1,646	-	-
Derivative financial liabilities (note 27)	690	-	690	-
Accruals and Deferred Income	63,699	29,783	63,699	29,783
	66,621	197,286	64,389	195,640

Accruals and deferred income due after more than one year represent long term performance and retention bonuses.

20. Loans and other borrowings

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Obligations under finance leases	1,077	2,061	1,077	2,061
Optionally convertible loan notes	179,000	194,700	179,000	194,700
Amounts owed to related parties	1,556	1,612	1,556	1,496
	181,633	198,373	181,633	198,257

a) Finance leases

The future minimum finance lease payments are as follows:

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Not later than one year	1,139	1,139	1,139	1,139
Later than one year and not later than five years	-	1,139	-	1,139
Total gross payments	1,139	2,278	1,139	2,278
Less finance charges	(62)	(217)	(62)	(217)
Carrying amount of liability	1,077	2,061	1,077	2,061

The finance lease relates to the acquisition of computer equipment. When the lease term ends, the title of goods will pass following final payment under the contract and where necessary settlement of a nominal option to purchase fee.

Notes to the financial statements (continued)

20. Loans and other borrowings (continued)

b) Optionally convertible loan notes & warrants

In December 2020, McLaren announced a deal to attract significant new long-term investment into McLaren Racing Limited led by MSP Sports Capital, the US-based sports investment group, to help drive its plan to return to the top in Formula 1 and continue its growth as a global sports franchise. MSP co-invested with its strategic partners UBS O'Connor, LLC. and The Najafi Companies, whilst an additional tranche of funding was provided by UBS O'Connor LLC & the investment group Caspian. A secondary round of funding was received in June 2021 of £25,000K, and a further £30,000K in December 2022.

The warrants are initially recognized at the premium received, determined through allocation of the difference between the proceeds and the fair value of the liability component, to warrants. The warrants are recognised within equity as "shares to be issued" and are not revalued.

The loan notes are held at fair value which is determined using estimates and judgements in regard to the term to exit and estimating the yield as at the valuation date and are secured by way of a fixed and floating charge over the total assets of McLaren Racing Limited unless designated as unrestricted. The yield at 31 December 2023 and 31 December 2024 was calculated by first determining the appropriate shadow credit rating for McLaren Racing Limited and then determining the yield by benchmarking to the yields for similarly rated instruments. These accrue interest at the rate of 12% per annum, compounded on an annual basis which only accrues until the fifth anniversary of the issuance date. After the third anniversary of the issuance date, the Group has the option to redeem some or all the outstanding loan notes and repay the accrued and unpaid interest. Unless repaid, the loan notes remain mandatorily convertible into a variable number of the Company's equity instruments upon occurrence of certain specified events.

In February 2024, the £30,000K Series B loan notes held at 31 December 2023 were repaid in full, as well as £10,000K of Series A loan notes, with associated accrued interest.

The table below summarises the total proceeds to date and their allocation between loan notes and warrants on initial recognition:

	Loan Notes	Warrants	Total
	£000	£000	£000
Tranche 1 - 17th-21st December 2020	70,000	30,000	100,000
Tranche 2 - 30 June 2021	21,000	4,000	25,000
Tranche 3 – 31 December 2022	25,700	4,300	30,000
Total - allocation of proceeds on initial recognition	116,700	38,300	155,000
Repayments in 2024	(40,000)	-	(40,000)
Balance at 31 December 2024	76,700	38,300	115,000

The loan notes outstanding at 31 December 2024 include £115,000K (2023: £125,000K) series A loan notes, that do not have a specified maturity date.

A 2% increase or decrease in the calibrated yields would not result in a decrease or increase of the fair value of loan notes (2023: £5,900K decrease and £5,700K increase).

Notes to the financial statements (continued)

20. Loans and other borrowings (continued)

c) Amounts owed to group undertakings

These include business transactions, under normal commercial terms, and group loans. Group loans attract interest at 8% above Bank of England base rate, are unsecured, and repayable on demand.

21. Called up share capital of the Group and Company

	2024	2023
	£000	£000
Authorised, called up and fully paid		
50,150 (2023: 50,150) ordinary shares of £1 each	<u>50</u>	<u>50</u>

The Group has a single class of ordinary shares which carry no right to fixed income.

Other Reserves

Group and Company	Hedging reserve	Hedging reserve
	2024	2023
	£000	£000
Cost or valuation:		
At 1 January	3,792	1,966
Valuation movement	(4,462)	1,457
Reclassification to profit and loss	(3,634)	1,051
Deferred Tax	2,054	(682)
At 31 December	<u>(2,250)</u>	<u>3,792</u>

The hedging reserve represents the effective portion of the fair value movements in respect of derivatives designated for cash flow hedge accounting net of associated deferred tax.

Notes to the financial statements (continued)

22. Deferred tax

The deferred tax asset consists of the following deferred tax (assets) / liabilities:

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Accelerated capital allowances	662	(82)	1,138	312
Revaluation of tangible assets	4,614	4,834	16	51
FX reserve movements	(750)	1,304	(750)	1,304
Other timing differences	(2,819)	410	(3,163)	-
Tax R&D incentives	(9,321)	(6,963)	(9,321)	(4,571)
Restricted interest	(7,293)	-	(7,293)	-
Trading losses carried forward	(23,124)	(12,493)	(20,824)	(10,098)
	(38,031)	(12,990)	(40,197)	(13,002)

In light of the changes to the financing of McLaren Racing the directors regularly review the group forecast plans and the extent to which profits can reasonably be identified to offset these losses. Deferred tax assets are recognised against forecast income from management's group Business Plan forecasts and the reversal of taxable timing differences. Tax R&D incentive credits are forecast to be utilised against taxable income after loss offset. The increase in the group's deferred tax assets in the year is as a result of an upward revision to management's group forecast income. A reasonable change (5%) in the forecasted profits will have minimal impact on the net deferred tax asset recognised.

At the balance sheet date, McLaren Racing has UK tax losses of £101,900K (2023: £149,000K), which have an indefinite life. The directors regularly review the Group forecast plans and the extent to which profits can reasonably be identified to offset these losses. As a result of these reviews, deferred tax has not been recognised on the following amounts:

Group	2024	2023
	£000	£000
Trade losses	17,808	98,900
Accelerated capital allowances	25,141	28,400
Other timing differences	62,488	32,500
	105,437	159,800

The Group has not recognised tax incentives amounting to £Nil (2023: £7,700K) which can be offset against potential future tax liabilities, and which do not expire. In addition, the Group has disallowed tax interest expenses amounting to £55,001K (2023: £67,500K) which may be reactivated under certain conditions. The deferred tax asset expected to reverse in 2025 totals £11,005K (2024: £7,500k).

Group	2024	2023
	£000	£000
Opening deferred tax	(12,990)	(7,531)
Movement recorded on P&L	(22,821)	(6,070)
Movement recorded on OCI	(2,220)	611
Closing deferred taxation	(38,031)	(12,990)

Notes to the financial statements (continued)

23. Non-controlling Interest

Group

The movement in non-controlling interests was as follows:

	Group 2024 £000	Group 2023 £000
At 1 January	876	562
Total comprehensive income attributable to non-controlling interest	486	314
Non-controlling interest acquired	(1,362)	-
At 31 December	-	876

The increase in the investment in IndyCar in the year has increased the group's controlling interest from 75% to 100% and reduced the other party non-controlling interest (NCI) to nil at the 2024 year end. The Group acquired the non-controlling interest for a cash consideration of USD\$3,750K. The difference between the carrying value of the non-controlling interest and the consideration was recorded as a gain/loss in equity.

This acquisition has not resulted in a change in control given the previous treatment of the investment as indirectly controlled. The carrying amount of the NCI and impact of foreign translation have been reflected in equity, with no impact to the profit and loss account.

24. Financial commitments

At 31 December, the Group and the Company had the following future minimum lease payments under non-cancellable operating leases for each of the following periods:

	2024 £000	2023 £000
Payments due:		
Not later than one year	17,797	16,385
Later than one year and not later than five years	73,806	65,238
Later than five years	14,053	27,354
	<u>105,656</u>	<u>108,977</u>

The leases relate to property, and engine supply agreements.

Notes to the financial statements (continued)

25. Financial Instruments

The Group and the Company has the following financial instruments:

	Group		Company	
	2024	2023	2024	2023
	£000	£000	£000	£000
Financial assets that are debt instruments measured at amortised cost				
- Trade debtors (note 16)	26,189	12,926	24,387	11,321
- Amounts owed by group undertakings (note 16)	-	-	106,510	100,376
- Amounts owed by related parties (note 29)	3,651	2,251	3,651	2,251
- Other debtors (note 16)	34,505	21,368	29,424	17,476
- Accrued income (note 16)	21,044	15,740	20,927	15,740
- Investment in short-term deposits (note 17)	21,090	15,142	21,090	15,142
	106,479	67,427	205,989	162,306
Financial assets measured at fair value through profit or loss				
- Derivative financial instruments (note 16)	-	5,086	-	5,086
	-	5,086	-	5,086
Financial liabilities measured at fair value through profit or loss				
- Optionally convertible loan notes (note 20)	179,000	194,700	179,000	194,700
- Derivative financial instruments (note 27)	2,315	-	2,315	-
	181,315	194,700	181,315	194,700
Financial liabilities measured at amortised cost				
- Warrants (note 20)	38,300	38,300	38,300	38,300
- Finance leases (note 20)	1,077	2,061	1,077	2,061
- Trade creditors (note 18)	9,593	11,747	7,992	10,859
- Amounts owed to related parties (note 18)	1,584	1,496	1,584	1,496
- Other creditors (note 18)	2,784	3,373	2,569	3,377
- Accruals (note 18)	129,378	74,888	124,266	71,199
	182,716	131,865	175,788	127,292

Notes to the financial statements (continued)

26. Notes to the cash flow statement

Reconciliation of Profit to cash generated from operating activities:

Group	2024	2023
	£000	£000
Profit for the financial year	54,157	12,919
Adjustments for:		
Tax on Profit	(16,621)	(1,328)
Net interest expense	20,065	18,907
Operating Profit	57,601	30,498
Depreciation and amortisation expense	22,200	15,312
Non-cash additions in heritage assets	(75)	(300)
Net foreign exchange gain/(loss)	746	(1,504)
Profit on disposal of heritage assets	(4,652)	(945)
Profit on disposal of fixed assets	(54)	(113)
Operating cash inflow before movements in working capital	75,766	42,948
Decrease/(increase) in stocks and work in progress	2,345	(6,686)
(Increase)/decrease in debtors	(47,149)	4,261
Increase in creditors	128,877	39,012
Cash inflow from operating activities	159,839	79,535

Analysis of changes in net debt

	At 1 January 2024	Cash flows	Fair value and exchange movements	Non-cash changes	At 31 December 2024
	£000	£000	£000	£000	£000
Cash at bank and in hand	138,942	98,821	(346)	-	237,417
Short term deposits (included in current asset investments)	15,142	5,948	-	-	21,090
Loan notes	(194,700)	44,727	(8,904)	(20,123)	(179,000)
Finance leases	(2,061)	984	-	-	(1,077)
Total	(42,677)	150,480	(9,250)	(20,123)	78,430

At 31 December 2024 short term deposits of £21,090K (2023: £15,142K) were held in a National Bank of Bahrain fixed term deposit account accruing interest at a rate of 4.80% (2023: 5.65%). These were entered into in October 2024, maturing within one year, and are measured at amortised cost.

Notes to the financial statements (continued)

27. Derivative financial instruments – Forward contracts and Put options

The Group enters into both forward foreign currency contracts and put options to mitigate the exchange rate risk for certain foreign currency receivables. At 31 December 2024, the outstanding contracts all mature within 2 years (2023: within 1 year) of the year end. As at 31 December 2024, the Group and Company are committed to sell US\$121,000K (2023: US\$21,440K) to receive a fixed sterling amount £93,802K (2023: £16,215K) and purchase EUR 7,900K (2023: Nil) for a sterling amount of £6,923K (2023: Nil).

Forward foreign currency contracts are valued using quoted forward exchange rates and yield curves derived from quoted interest rates matching maturities of the contracts. The fair value of the forward-foreign currency contracts is a financial liability of £3,005K (2023: asset of £1,456K), the movement of which has been recognised in equity. Of the total value of forward contracts, £2,315K (2023: £1,456K) matures within one year of December 2024 and £690K (2023: £Nil) matures in more than one year.

There were no foreign currency option contracts at 31 December 2024 (2023: asset of £3,629K).

28. Contingent liability

McLaren Racing Limited has given guarantees in favour of third parties. As at 31 December 2024 the balances guaranteed were CHF 100,000 (2023: CHF 100,000) in favour of Tribunal De Premiere Instance; EUR 16,873 (2023: EUR 16,873) in favour of Dresdner Bank AG; EUR 90,060 (2023: 90,060) in favour of Agenzia Delle Entrate; and GBP 1,000,000 (2023: GBP Nil) in favour of HM Revenue & Customs. Timing of cash outflows is impracticable to be able to predict.

Notes to the financial statements (continued)

29. Related party transactions

Transactions with related parties during the year were as follows:

	Year ended 31 December	Balance outstanding at 31 December	Year ended 31 December	Balance outstanding at 31 December
	2024	2024	2023	2023
	£000	£000	£000	£000
Sales to related parties				
Group and Company				
McLaren Automotive Asia PTE Limited	57	-	291	17
McLaren Automotive Inc	-	-	1,706	-
McLaren Automotive Limited	2,306	765	344	255
McLaren Automotive Events Limited	-	-	56	-
McLaren Services Limited	1,022	1,993	839	942
McLaren Support Services Limited	-	-	91	-
MSP Sports Capital	79	-	-	1
Bahrain Mumtalakat Holding Company B.S.C.(c)	5	2	-	-
Bahrain International Circuit Company W.L.L	-	-	6	-
United Autosports Limited	473	-	36	3
Alpha Services Personnalises	-	-	20	-
Caspian Capital LP	137	10	202	69
Axtman Aviation (FAI AG)	870	-	653	-
Amounts owed by related parties		2,770		1,287

Amounts owed by McLaren Automotive Limited and its subsidiaries, McLaren Services Limited, McLaren Automotive Asia PTE Limited, McLaren Automotive Inc., McLaren Automotive Events Limited and McLaren Support Services Limited are repayable on demand and represent business transactions under normal commercial terms and conditions. All these entities are wholly owned subsidiaries of McLaren Group Limited, the entity exercising joint control over McLaren Racing Limited.

Amounts owed by MSP Sports Capital, Bahrain Mumtalakat Holding Company B.S.C.(c), United Autosports Limited, Alpha Services Personnalises, Caspian Capital LP, the companies owned by directors and ultimate shareholders of the McLaren Racing Group represent the sale of hospitality tickets.

Amounts owed by related parties in Note 16 includes accrued income of £881K (2023: £964K) of which £863K (2023: £654K) relates to the National Bank of Bahrain, £18K (2023: £Nil) relates to McLaren Support Services Limited, £Nil (2023: £269K) relates to McLaren Services Limited and £Nil (2023: £41K) relates to McLaren Automotive Limited.

Amounts owed by other related parties include business transactions, under normal commercial terms. The amounts are interest free, unsecured and repayable on demand.

Notes to the financial statements (continued)

29. Related party transactions (continued)

	Year ended 31 December	Balance outstanding at 31 December	Year ended 31 December	Balance outstanding at 31 December
	2024	2024	2023	2023
	£000	£000	£000	£000
Purchases from related parties				
Group and Company				
United Autosports Limited	23	-	129	-
Entertainment Travel	652	-	772	-
McLaren Automotive Limited	249	-	266	34
McLaren Services Limited	6,908	392	8,631	329
McLaren Support Services Limited	17,229	847	11,595	-
McLaren Automotive Inc	20	-	-	258
Bahrain International Circuit Company W.L.L	167	-	201	-
Axtman Aviation (FAI AG)	1,117	24	1,058	-
Amounts owed to related parties		1,263		621

In certain circumstances the Company facilitates the payment of transactions on behalf of related parties, and these are then transferred at cost. Due to the nature of these transactions, no cost or income is reported however in some cases there is a year-end receivable.

Amounts owed to McLaren Automotive Limited and its subsidiaries, McLaren Services Limited, McLaren Automotive Inc. and McLaren Support Services Limited are repayable on demand and represent business transactions under normal commercial terms and conditions.

Other than the transactions disclosed above the group's other related party transactions were with wholly owned subsidiaries and so have not been disclosed.

Amounts owed to United Autosports Limited, the company associated with a director of McLaren Racing Group represent the cost of refurbishment of heritage cars during the year.

Amounts owed to Entertainment Travel and Axtman Aviation (FAI AG), companies associated with a director of McLaren Racing Group, represent travel services provided during the year.

Amounts owed to Bahrain International Circuit Company W.L.L, the company owned by the majority shareholder of McLaren Group Limited, Bahrain Mumtalakat Holding Company B.S.C.(c), represent circuit services provided during the year.

Amounts owed to related parties in Note 18 includes Accruals of £115K (2023: £588K) of which £48K (2023: £307K) relates to McLaren Services Limited, £Nil (2023: £280K) to McLaren Support Services Limited and £67K (2023: £Nil) to McLaren Automotive Limited. Note 18 also includes Deferred Income of £206K (2023: £403K), of which £206K (2023: £32K) relates to McLaren Automotive Limited and £Nil (2023: £371K) to McLaren Services Limited.

During the year there were also purchases with McLaren Services Limited and McLaren Support Services Limited, for £1,031K (2023: £753K) that were capitalised as leasehold improvements.

Notes to the financial statements (continued)

30. Capital Commitments

At 31 December, the group and company had the following capital commitments:

	Group	Group	Company	Company
	2024	2023	2024	2023
	£000	£000	£000	£000
Contracts for future capital expenditure not provided in the financial statements – Property, plant and equipment	15,972	5,512	7,187	5,512

31. Ultimate parent Company and controlling party

The largest and smallest Group of which the Company is a member, for which group accounts are drawn up is McLaren Racing Limited, a Company incorporated in the United Kingdom. Copies of McLaren Racing Limited consolidated financial statements can be obtained from McLaren Racing Limited, McLaren Technology Centre, Chertsey Road, Woking, GU21 7YH.

McLaren Group Limited, the immediate parent undertaking, holds 100% of issued equity however the warrants issued as part of the investment in December 2020 are convertible at any time at the option of the warrant holders, for £0.01, into equity shares of the Company. The warrants give the investors voting and dividend rights on an 'as-converted' basis and is jointly controlled by McLaren Group Limited and MSP Sports Capital.

Ownership of McLaren Racing Limited at 31 December 2024 and 31 December 2023 based on beneficial ownership on an as-converted basis was 70.75% McLaren Group Limited, and 29.25% (MSP Sports Capital, Caspian, UBS O'Connor LLC and ASME Holdings I, LP).

32. Subsequent events

It was announced on 9 December 2024 that Abu Dhabi-based CYVN Holdings is to partner with existing shareholder Mumtalakat, to acquire a non-controlling interest in the McLaren Racing Group. The transaction is expected to complete before June 2025.

In Q1 2025, 1,872,525 share warrants of £0.01 were converted into equity shares.